
University of Colorado Hospital Authority

Financial Report
June 30, 2024

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Independent Auditor's Report

To the Board of Directors
University of Colorado Hospital Authority

Report on the Audits of the Financial Statements

Opinions

We have audited the financial statements of the business-type activities and fiduciary activities of University of Colorado Hospital Authority (UCHA), a component unit of University of Colorado Health, as of and for the years ended June 30, 2024 and 2023 and the related notes to the basic financial statements, which collectively comprise UCHA's basic financial statements, as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the business-type activities and fiduciary activities of UCHA as of June 30, 2024 and 2023 and the respective changes in its financial position and, where applicable, its cash flows thereof for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audits of the Financial Statements* section of our report. We are required to be independent of UCHA and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about UCHA's ability to continue as a going concern for 12 months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audits of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and, therefore, is not a guarantee that audits conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

To the Board of Directors
University of Colorado Hospital Authority

In performing audits in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audits.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audits in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of UCHA's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about UCHA's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audits, significant audit findings, and certain internal control-related matters that we identified during the audits.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and pension information, as identified in the table of contents, be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audits of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated September 24, 2024 on our consideration of UCHA's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of UCHA's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering UCHA's internal control over financial reporting and compliance.

Plante & Moran, PLLC

September 24, 2024

Management's Discussion and Analysis

This discussion and analysis of the financial performance of University of Colorado Hospital Authority (UCHA) provides an overall review of UCHA's financial activities as of and for the years ended June 30, 2024, 2023, and 2022. Unless otherwise indicated, amounts are in thousands.

The management's discussion and analysis (MD&A) is designed to focus on the current fiscal year while providing comparison information for the previous fiscal years, resulting changes, and currently known facts; therefore, please read it in conjunction with UCHA's basic financial statements.

Joint Operating Agreement and Integration and Affiliation Agreement

Effective July 1, 2012, University of Colorado Health (UCHealth or the "Health System") was created through a joint operating agreement with Poudre Valley Health Care Inc. (PVHS) and UCHA. Together, UCHA and PVHS are member organizations in UCHealth. The joint venture enhances the capacity of the members to protect, sustain, and expand their respective missions. The initial term of the joint operating agreement is 50 years, with renewals or extensions anticipated. The agreement includes significant hurdles for termination other than by mutual agreement. Under the joint operating agreement, the members of the joint venture are members of the obligated group under UCHA's master trust indenture and, thereby, pledge their gross revenue to secure each member's obligations.

Effective October 1, 2012, an Integration and Affiliation Agreement and Health System Operating Lease Agreement with the City of Colorado Springs, Colorado (the "City") was executed with the purpose of leasing Memorial Health System (MHS). Effective October 1, 2012, a sublease agreement was executed with Children's Hospital Colorado to operate the pediatric units located at MHS and was valued at 15 percent of the organization. Children's Hospital Colorado paid the corresponding amount of the upfront payment and is responsible for its percentage of the ongoing lease payments to the City.

Overview of the Basic Financial Statements

This discussion and analysis is intended to serve as an introduction to UCHA's basic financial statements, which consist of the enterprise fund, including the University of Colorado Hospital Foundation (the "Foundation," a blended component unit); the pension trust fund; the health benefits trust fund; and the notes to the basic financial statements. This report also contains other required supplementary information in addition to the basic financial statements.

UCHA has two types of funds: an enterprise fund, which accounts for all transactions related to UCHA's and the Foundation's business, and fiduciary funds for UCHA's employee pension plan and health benefits trust.

The statement of net position; statement of revenue, expenses, and changes in net position; and statement of cash flows are presented on an accrual basis in accordance with accounting principles generally accepted in the United States of America. This information provides an indication of UCHA's financial health. The statement of net position includes all of UCHA's assets, deferred outflows of resources, liabilities, and deferred inflows of resources, as well as an indication about which assets can be utilized for general purposes and which are restricted as a result of bond covenants or other agreements. The statement of revenue, expenses, and changes in net position reports all of the revenue and expenses during the periods indicated. The statement of cash flows reports the cash provided and used by operating activities, as well as other cash sources, such as investment income, and other cash uses, such as repayment of debt and purchase of capital.

The notes to the basic financial statements provide additional information that is essential to a full understanding of the data provided in the basic financial statements. Required supplementary information relates to UCHA's progress in funding its obligation to provide pension benefits to its employees.

UCHA adopted Governmental Accounting Standards Board (GASB) Statement Number 101, *Compensated Absences*, in 2024. GASB 101 was implemented on a retrospective basis as of July 1, 2022; the 2023 amounts within the MD&A have been updated as necessary to reflect the revised amounts following the adoption.

Financial Analysis and Results of Operations

Assets, deferred outflows of resources, liabilities, deferred inflows of resources, and net position at June 30 are summarized in Table 1 and are discussed in the following pages.

Management's Discussion and Analysis (Continued)

Table 1: Statement of Net Position

	2024	2023	2022
Assets			
Current assets	\$ 1,887,569	\$ 1,716,841	\$ 1,602,510
Capital assets - Net	1,264,028	1,245,573	1,100,964
Other noncurrent assets	4,187,221	3,748,651	3,482,217
Total assets	7,338,818	6,711,065	6,185,691
Deferred Outflows of Resources	30,381	36,177	42,242
Total assets and deferred outflows	7,369,199	6,747,242	6,227,933
Liabilities			
Current liabilities	702,258	638,447	651,352
Long-term liabilities	1,048,643	1,185,971	1,213,538
Total liabilities	1,750,901	1,824,418	1,864,890
Deferred Inflows of Resources	18,819	12,232	2,673
Total liabilities and deferred inflows	1,769,720	1,836,650	1,867,563
Net Position			
Invested in capital assets - Net of related debt	888,279	852,146	710,906
Restricted	32,686	30,353	32,090
Unrestricted	4,678,514	4,028,093	3,617,374
Total net position	\$ 5,599,479	\$ 4,910,592	\$ 4,360,370

At June 30, 2024, UCHA's total net position was \$5,599,479, which is an increase in total net position of \$688,887, or 14.0 percent, from the prior year end. UCHA classifies net position as invested in capital assets, net of related debt; restricted; and unrestricted. Net position invested in capital assets, net of related debt, increased during the fiscal year due to debt principal payments and additional capital expenditures. The unrestricted net position increase was driven primarily by improved operating performance due to continued strong volumes, revenue enhancements, and continued cost controls.

At June 30, 2024, UCHA's unrestricted cash and investment position, including assets designated for long-term purposes, increased \$613,563 compared to June 30, 2023. Days cash on hand were 500.2 days, and net days in accounts receivable were 37.8 as of June 30, 2024.

At June 30, 2023, UCHA's total net position was \$4,910,592, which is an increase in total net position of \$550,222, or 12.6 percent, from the prior year end. Net position invested in capital assets, net of related debt, increased during the fiscal year due to debt principal payments and additional capital expenditures. The unrestricted net position increase was driven primarily by improved operating performance due to continued strong volumes, revenue enhancements, and continued cost controls.

At June 30, 2023, UCHA's unrestricted cash and investment position, including assets designated for long-term purposes, increased \$257,143 compared to June 30, 2022. Days cash on hand was 451.5 days, and net days in accounts receivable were 34.8 as of June 30, 2023.

Revenue, Expenses, and Changes in Net Position

Revenue, expenses, and change in net position are summarized in Table 2 and are discussed below.

University of Colorado Hospital Authority

Management's Discussion and Analysis (Continued)

Table 2: Revenue, Expenses, and Changes in Net Position

	2024	2023	2022
Operating Revenue			
Net patient service revenue	\$ 3,092,373	\$ 2,825,726	\$ 2,496,273
Other operating revenue	33,218	30,430	23,851
Total operating revenue	3,125,591	2,856,156	2,520,124
Operating Expenses			
Wages, contract labor, and benefits	1,001,114	943,063	852,404
Supplies	943,684	834,382	717,738
Purchased services and other expenses	735,019	691,035	624,391
Depreciation and amortization	150,823	116,664	88,794
Total operating expenses	2,830,640	2,585,144	2,283,327
Operating Income	294,951	271,012	236,797
Nonoperating Revenue (Expense)			
Investment income (loss)	433,763	309,119	(358,138)
(Loss) gain on disposal of capital assets	(297)	2,987	139
Unrealized gain on derivative instruments	3,847	5,813	47,288
Interest expense	(27,700)	(28,907)	(35,073)
Grant revenue	-	-	9,269
Other - Net	(25,751)	(13,609)	(10,950)
Total nonoperating revenue (expense)	383,862	275,403	(347,465)
Income (Loss) before Contributions	678,813	546,415	(110,668)
Contributions Restricted for Capital Assets and Transfers	-	-	3
Contributions Restricted - Other	10,074	3,074	2,497
Change in Net Position	688,887	549,489	(108,168)
Net Position - Beginning of year, as previously reported	4,910,592	4,360,370	4,468,538
Cumulative Effect of Accounting Change	-	733	-
Net Position - Beginning of year, as restated	4,910,592	4,361,103	4,468,538
Net Position - End of year	\$ 5,599,479	\$ 4,910,592	\$ 4,360,370

Year Ended June 30, 2024 Compared with Year Ended June 30, 2023

Inpatient volumes, measured in admissions and patient days, increased from 2023. Volumes include all volumes except those associated with the Center for Dependency, Addiction, and Rehabilitation (CeDAR) and normal newborns. Admissions increased 7.8 percent in 2024 compared to 2023. Patient days increased 5.2 percent in 2024. Medical/surgical admissions increased 4.8 percent in 2024. Outpatient volumes, measured by clinic visits, increased 5.9 percent in 2024.

Net patient service revenue was \$3,092,373 in 2024 compared to \$2,825,726 in 2023. The detail of net patient service revenue can be found in Note 3 to the basic financial statements. Year-over-year increases are due to continued growth in the IP and OP areas due to continued patient demand at UCHA. Total operating revenue consists of net patient revenue and other operating revenue. In 2019, the Centers for Medicare & Medicaid Services (CMS) lowered Medicare reimbursement for drugs purchased under the 340B program. In 2022, the United States Supreme Court determined such action was not within the authority of CMS. During the year ended June 30, 2024, CMS issued a final rule outlining the remedy for the decreased reimbursement. UCHA received a one-time settlement of \$63,246 as a remedy for the situation, which is included within net patient service revenue during 2024.

Management's Discussion and Analysis (Continued)

UCHA provides care to patients who meet certain criteria under its charity care policies and to uninsured patients without charge or at amounts less than established rates. Amounts determined to qualify as charity care are not reported as net patient service revenue. Based on analysis of direct and indirect costs specific to the procedures performed, the cost of these services was \$89,714 in 2024, an increase of \$37,657, or 72.3 percent, from 2023.

UCHA maintains a self-pay discount program in which self-pay patients automatically receive a discount on total charges. This program reduces uninsured patients' liabilities to a level more equivalent to insured patients. The self-pay discounts and packages for 2024 were \$306,305, an increase of \$133,466, or 77.2 percent, over 2023.

In 2010, the State of Colorado modified the CICP Safety Net Provider Program with the Colorado Health Care Affordability Act (the "Act") authorizing the Department of Health Care Policy & Financing to collect a fee from hospital providers to increase Medicaid payments to hospitals and expand coverage under public health care programs. For the year ended June 30, 2024, UCHA was charged \$119,364 in hospital provider fees, which reflects essentially no change from 2023, and received \$193,443 in disproportionate share revenue as compensation for indigent and uninsured care services, an increase of \$29,701, or 18.1 percent, over 2023.

UCHA provides programs, including those listed above, for uninsured and underinsured patients. The total benefit to UCHA's uninsured and underinsured patients was \$227,754 in 2024, which is an increase of \$26,914, or 13.4 percent, from 2023, and is determined by applying an adjusted cost-to-charge ratio to the charges under these programs and reducing the benefit amount by any actual reimbursement received for these programs.

Operating expenses were \$2,830,640 in 2024. This was an increase of \$245,496, or 9.5 percent, compared to 2023. Wages, contract labor, and benefits expense of \$1,001,114 was an increase of \$58,051, or 6.2 percent, over the 2023 expense. This includes an 8.9 percent increase in salaries, a 3.8 percent decrease in contract labor, and a 4.7 percent increase in benefits. Medical and nonmedical supplies expense of \$943,684 increased \$109,302, or 13.1 percent, in 2024. Purchased services and other expenses of \$735,019 increased over 2023 by \$43,984, or 6.4 percent.

Operating income was \$294,951 during the fiscal year, which is an 8.8 percent increase from 2023 operating income of \$271,012.

According to Governmental Accounting Standards Board Statement No. 34, *Basic Financial Statements - and Management's Discussion and Analysis - for State and Local Governments*, interest expense is defined as a nonoperating expense and is classified as such in UCHA's basic financial statements. Operating income would be \$267,251 in 2024 and \$242,105 in 2023 if interest expense were included as an operating expense.

Nonoperating revenue and expenses in 2024 had a gain of \$383,862, which is a \$108,459 increase from 2023. The change from 2023 was primarily generated by investment gains. Nonoperating income for UCHA's equity, fixed income, and cash investments was \$433,763 in 2024, compared to \$309,119 in 2023. Unrealized gain on derivative instruments totaled \$3,847 for fiscal year 2024.

UCHA utilizes interest rate swaps to manage interest rate risk exposure on certain bond series. UCHA is party to two floating-to-fixed swap agreements to hedge underlying floating-rate debt and is also party to a total return fixed-to-floating swap agreement tied to the Series 2012B, 2012C, 2017A, and 2017B-1 Revenue Bonds. These agreements are used to create synthetic fixed-rate bonds by converting the variable rates on those series to a fixed rate, reducing interest rate risk, or reducing the overall cost of capital. Cash flows on these agreements are recorded as interest expense.

Other net nonoperating expenses were \$25,751 and \$13,609 in 2024 and 2023, respectively, related primarily to donations made and fundraising expenses.

Income before contributions was \$678,813 in 2024, which increased \$132,398 from 2023.

Year Ended June 30, 2023 Compared with Year Ended June 30, 2022

Inpatient volumes, measured in admissions and patient days, increased from 2022. Volumes include all volumes except those associated with the Center for Dependency, Addiction, and Rehabilitation and normal newborns. Admissions increased 5.3 percent in 2023 compared to 2022. Patient days increased 0.6 percent in 2023. Medical/surgical admissions increased 6.3 percent in 2023. Outpatient volumes, measured by clinic visits, increased 6.1 percent in 2023.

Management's Discussion and Analysis (Continued)

Net patient service revenue was \$2,825,726 in 2023 compared to \$2,496,273 in 2022. The detail of net patient service revenue can be found in Note 3 to the basic financial statements. Year-over-year increases are due to the opening of Tower 3 and continued growth in the IP and OP areas due to continued patient demand at UCHA. Total operating revenue consists of net patient revenue and other operating revenue.

UCHA provides care to patients who meet certain criteria under its charity care policies and to uninsured patients without charge or at amounts less than established rates. Amounts determined to qualify as charity care are not reported as net patient service revenue. Based on analysis of direct and indirect costs specific to the procedures performed, the cost of these services was \$52,057 in 2023, an increase of \$15,236, or 41.4 percent, from 2022.

UCHA maintains a self-pay discount program in which self-pay patients automatically receive a discount on total charges. This program reduces uninsured patients' liabilities to a level more equivalent to insured patients. The self-pay discounts and packages for 2023 were \$172,839, an increase of \$505, or 0.3 percent, over 2022.

In 2010, the State of Colorado modified the CICP Safety Net Provider Program with the Colorado Health Care Affordability Act (the "Act") authorizing the Department of Health Care Policy & Financing to collect a fee from hospital providers to increase Medicaid payments to hospitals and expand coverage under public health care programs. For the year ended June 30, 2023, UCHA was charged \$119,246 in hospital provider fees, an increase of \$11,039, or 10.2 percent, over 2022, and received \$163,742 in disproportionate share revenue as compensation for indigent and uninsured care services, an increase of \$42,078, or 34.6 percent, over 2022.

UCHA provides programs, including those listed above, for uninsured and underinsured patients. The total benefit to UCHA's uninsured and underinsured patients was \$200,840 in 2023, which is an increase of \$14,607, or 7.8 percent, from 2022 and is determined by applying an adjusted cost-to-charge ratio to the charges under these programs and reducing the benefit amount by any actual reimbursement received for these programs.

Wages, contract labor, and benefits expense of \$943,063 was an increase of \$90,659, or 10.6 percent, over the 2022 expense. This includes a 9.1 percent increase in salaries, a 0.5 percent decrease in contract labor, and a 19.2 percent increase in benefits.

Medical and nonmedical supplies expense of \$834,382 increased \$116,644, or 16.3 percent, in 2023. Purchased services and other expenses of \$691,035 increased over 2022 by \$66,644, or 10.7 percent. Operating expenses were \$2,585,065 in 2023. This was an increase of \$301,738, or 13.2 percent, compared to 2022.

Operating income was \$271,012 during the fiscal year, which is a 14.4 percent increase from 2022 operating income of \$236,797. The increase is due to continued patient demand for UCHA services coupled with capacity growth from recent expansions.

According to Governmental Accounting Standards Board Statement No. 34, *Basic Financial Statements - and Management's Discussion and Analysis - for State and Local Governments*, interest expense is defined as a nonoperating expense and is classified as such in UCHA's basic financial statements. Operating income would be \$242,105 in 2023 and \$201,724 in 2022 if interest expense were included as an operating expense.

Income (loss) before contributions was \$546,415 and \$(110,668) in 2023 and 2022, respectively. Included in nonoperating revenue is \$0 and \$9,269 of grant revenue received in 2023 and 2022, respectively, as part of general and targeted distributions of the CARES Act Provider Relief Fund. The remaining amount of nonoperating revenue is primarily generated from investment income and an unrealized gain on derivative instruments. The income is offset by interest expense of \$28,907 and \$35,073 for the years ended June 30, 2023 and 2022, respectively. The year-over-year changes were driven by existing market conditions.

The nonoperating gain from UCHA's investment portfolio was \$309,119 in 2023, an increase of \$667,257 from 2022. The unrealized gain on derivative instruments totaled \$5,813 for fiscal year 2023.

Other net nonoperating expenses were \$13,609 and \$10,950 in 2023 and 2022, respectively, primarily due to donations made to the University of Colorado School of Medicine.

Contribution revenue of \$3,074 was a \$574 increase from 2022 contribution revenue of \$2,500. Beginning in 2018, UCHA entered into an agreement with the University of Colorado School of Medicine to partner in the fundraising process, with a portion of the moneys raised provided to UCHA.

University of Colorado Hospital Authority

Management's Discussion and Analysis (Continued)

Capital Asset and Debt Administration

Capital Assets

Capital assets, net of depreciation and amortization, at June 30, 2024, 2023, and 2022 are summarized in Table 3 and discussed below.

Table 3: Capital Assets - Net of Depreciation and Amortization

	2024	2023	2022
Land	\$ 2,545	\$ 2,545	\$ 2,545
Buildings and improvements	942,022	934,630	615,151
Equipment	166,335	116,722	70,800
Right-to-use asset	50,898	52,924	37,863
Construction in progress	102,228	138,752	374,605
Total	<u>\$ 1,264,028</u>	<u>\$ 1,245,573</u>	<u>\$ 1,100,964</u>

Ongoing capital requirements are funded from a combination of operating cash and contributions. UCHA's annual capital budget, exclusive of the larger strategic projects, was \$44,491 in 2024 and \$45,097 in 2023. The 2024 and 2023 capital budgets are exclusive of the UCHealth capital allocation. Cash flows related to capital expenditures totaled \$137,752 in 2024 compared to \$209,408 in 2023. Total depreciation expense on capital assets was \$150,823 and \$116,664 in 2024 and 2023, respectively.

Long-term Debt

Long-term debt is summarized in Table 4 and discussed below.

Table 4: Outstanding Long-term Debt at Year End

	2024	2023	2022
Lease liabilities	\$ 50,221	\$ 50,649	\$ 40,740
SBITA liabilities	625	783	1,395
Bonds	1,227,674	1,265,754	1,292,724
Less current portion	(132,038)	(37,870)	(17,788)
Less long-term debt subject to short-term remarketing arrangements	(203,600)	(211,855)	(219,755)
Total long-term debt	<u>\$ 942,882</u>	<u>\$ 1,067,461</u>	<u>\$ 1,097,316</u>

UCHA can issue debt on behalf of obligated group members, as established under the joint operating agreement creating the Health System. For more information about outstanding debt, see Note 10 to the basic financial statements.

In July 2024, UCHealth completed an annual ratings update with Moody's, Standard & Poor's, and Fitch Ratings to rate the member organizations. Moody's maintained its UCHA rating at Aa2 Stable. Standard & Poor's maintained its rating at AA Stable. Fitch maintained its UCHA rating at AA Stable.

In August 2024, UCHA issued Series 2024A and 2024B Revenue and Refunding Revenue Bonds for \$262,300. These bonds were issued to refinance various outstanding bonds.

In March 2021, UCHA issued forward-starting 2022A (Series 2022A) and 2022B (Series 2022B) direct purchase bonds, in the amount of \$230,565, to refinance the 2012A bonds effective November 2022. Series 2022A and Series 2022B are a fixed-rate issuance, with interest paid semiannually and principal paid according to a mandatory sinking fund redemption schedule beginning in fiscal year 2024. The interest rate for the Series 2022A and 2022B bonds is 1.58 percent. The Series 2022A and Series 2022B bonds have a maturity date of November 2030.

Management's Discussion and Analysis (Continued)

The maximum debt service coverage ratio was 11.82 at June 30, 2024, compared to 8.00 and 9.97 at June 30, 2023 and 2022, respectively, and bond covenants require a debt service coverage ratio greater than 1.5. The indebtedness ratio was 13.5 percent at June 30, 2024, compared to 14.5 percent and 16.2 percent at June 30, 2023 and 2022, respectively, and bond covenants require an indebtedness ratio of less than 65.0 percent.

Economic Factors and Next Year's Activities and Rates

Demand for services at UCHA facilities is anticipated to remain high in the upcoming year and generally exceed 2024 volumes. Growth at the Anschutz Medical Campus is expected to produce high occupancy rates in fiscal year 2025.

UCHA expects to maintain a stable payor mix. Continued growth in high-deductible benefit plans is anticipated, creating higher out-of-pocket costs for patients and a greater burden on UCHA in managing receivables. UCHA expects to remain in-network with all major payors in 2025. UCHA expects cost inflation in excess of reimbursement increases and staffing shortages to continue to impact performance.

Requests for Information

This financial report is designed to provide a general overview of UCHA's financial results for all those with an interest in UCHA's finances. Questions concerning any of the information provided in this report or requests for additional information should be addressed to the UCHA Chief Financial Officer, Mail Stop F-417, P.O. Box 6510, Aurora, CO 80045.

UCHealth, the parent company of UCHA, issues a separate financial report. The report may be obtained by writing to the UCHealth Chief Financial Officer, Mail Stop F-417, P.O. Box 6510, Aurora, CO 80045.

Statement of Net Position

June 30, 2024 and 2023

(Dollars in Thousands)

	2024	2023
Assets		
Current Assets		
Cash and cash equivalents	\$ 238,423	\$ 98,891
Patient accounts receivable - Less allowances for uncollectible accounts of \$289,604 and \$284,355 in 2024 and 2023, respectively	319,325	269,252
Inventories	59,993	55,794
Other receivables	50,503	46,614
Investments designated for liquidity support	203,600	211,855
Prepaid expenses	59,230	49,727
Receivables from related parties and affiliates	956,495	984,708
Total current assets	1,887,569	1,716,841
Investments		
Restricted investments - Other	-	681
Restricted investments and donor pledges	39,038	35,149
Assets designated for long-term purposes	1,400,632	1,437,614
Long-term investments	1,857,601	1,340,746
Other investments	8,413	6,000
Capital Assets - Net	1,264,028	1,245,573
Long-term Receivables from Affiliates	879,222	925,199
Other Assets	2,315	3,262
Total assets	7,338,818	6,711,065
Deferred Outflows of Resources	30,381	36,177
Total assets and deferred outflows of resources	<u>\$ 7,369,199</u>	<u>\$ 6,747,242</u>

University of Colorado Hospital Authority

Statement of Net Position (Continued)

June 30, 2024 and 2023

(Dollars in Thousands)

	2024	2023
Liabilities, Deferred Inflows of Resources, and Net Position		
Current Liabilities		
Accounts payable and accrued expenses	\$ 243,338	\$ 224,295
Accounts payable - Construction	8,269	25,445
Current portion of long-term debt	132,038	37,870
Long-term debt subject to short-term remarketing arrangements	203,600	211,855
Estimated third-party payor settlements	69,775	88,685
Accrued liabilities and other:		
Accrued compensated absences	32,895	30,405
Payables to affiliates	9,178	15,972
Accrued interest	3,165	3,920
Total current liabilities	702,258	638,447
Long-term Debt - Net of current portion	942,882	1,067,461
Net Pension Liability	102,695	115,262
Other Long-term Liabilities	3,066	3,248
Total liabilities	1,750,901	1,824,418
Deferred Inflows of Resources	18,819	12,232
Total liabilities and deferred inflows of resources	1,769,720	1,836,650
Net Position		
Invested in capital assets - Net of related debt	888,279	852,146
Restricted:		
Restricted by donors - Expendable	11,202	8,869
Permanent endowments - Nonexpendable	21,484	21,484
Unrestricted	4,678,514	4,028,093
Total net position	5,599,479	4,910,592
Total liabilities, deferred inflows of resources, and net position	<u><u>\$ 7,369,199</u></u>	<u><u>\$ 6,747,242</u></u>

University of Colorado Hospital Authority

Statement of Revenue, Expenses, and Changes in Net Position

Years Ended June 30, 2024 and 2023

(Dollars in Thousands)

	2024	2023
Operating Revenue		
Net patient service revenue - Net of provision for bad debts of \$119,372 and \$125,380 in 2024 and 2023, respectively	\$ 3,092,373	\$ 2,825,726
Other operating revenue	33,218	30,430
Total operating revenue	3,125,591	2,856,156
Operating Expenses		
Wages, contract labor, and benefits	1,001,114	943,063
Supplies	943,684	834,382
Purchased services and other expenses	735,019	691,035
Depreciation and amortization	150,823	116,664
Total operating expenses	2,830,640	2,585,144
Operating Income	294,951	271,012
Nonoperating Revenue (Expense)		
Investment income	433,763	309,119
(Loss) gain on disposal of capital assets	(297)	2,987
Unrealized gain on derivative instruments	3,847	5,813
Interest expense	(27,700)	(28,907)
Other - Net	(25,751)	(13,609)
Total nonoperating revenue	383,862	275,403
Income before Contributions	678,813	546,415
Contributions Restricted - Other	10,074	3,074
Change in Net Position	688,887	549,489
Net Position - Beginning of year, as previously reported	4,910,592	4,360,370
Cumulative Effect of Accounting Changes	-	733
Net Position - Beginning of year, as restated	4,910,592	4,361,103
Net Position - End of year	\$ 5,599,479	\$ 4,910,592

Statement of Cash Flows

Years Ended June 30, 2024 and 2023

(Dollars in Thousands)

	2024	2023
Cash Flows from Operating Activities		
Cash received from patients and third-party payors	\$ 3,013,935	\$ 2,830,388
Cash payments to suppliers for services and goods	(1,703,314)	(1,584,537)
Cash payments to employees/UCDHSC/other on behalf of employees	(957,722)	(906,409)
Cash payments to affiliates	(9,659)	(133,022)
Other payments	(3,453)	(14,945)
Net cash and cash equivalents provided by operating activities	339,787	191,475
Cash Flows from Capital and Related Financing Activities		
Distributions for intercompany bonds	40,257	15,940
Principal payments under lease and right-to-use obligations	(7,957)	(7,532)
Principal payments of long-term debt	(34,115)	(11,675)
Payments of interest on long-term debt	(34,246)	(33,631)
Capital expenditures	(137,752)	(209,408)
Receipt of contributions	10,074	3,074
Net cash and cash equivalents used in capital and related financing activities	(163,739)	(243,232)
Cash Flows from Investing Activities		
Investment income	199,043	72,949
Proceeds from sale and maturities of investments	112,672	1,517,998
Purchase of investments	(348,231)	(1,578,323)
Net cash and cash equivalents (used in) provided by investing activities	(36,516)	12,624
Net Increase (Decrease) in Cash and Cash Equivalents	139,532	(39,133)
Cash and Cash Equivalents - Beginning of year	98,891	138,024
Cash and Cash Equivalents - End of year	\$ 238,423	\$ 98,891

Statement of Cash Flows (Continued)

Years Ended June 30, 2024 and 2023

(Dollars in Thousands)

	2024	2023
Reconciliation of operating income to net cash and cash equivalents from operating activities is as follows:		
Cash Flows from Operating Activities		
Operating income	\$ 294,951	\$ 271,012
Adjustments to reconcile operating income to net cash and cash equivalents from operating activities:		
Depreciation and amortization	150,823	116,664
Provision for bad debts	119,372	125,380
(Decrease) increase in assets and liabilities:		
Patient accounts receivable	(169,444)	(114,545)
Estimated third-party payor settlements	(18,910)	113
Other receivables and receivables from related parties	(47,241)	(177,742)
Inventories	(4,824)	(3,490)
Net pension liability and pension-related deferred inflows and outflows of resources	1,641	6,209
Prepaid expenses and other assets	(8,556)	(7,731)
Accounts payable and accrued expenses	19,667	(25,028)
Accrued compensated absences and other long-term liabilities	2,308	633
Total adjustments	44,836	(79,537)
Net cash and cash equivalents provided by operating activities	<u>\$ 339,787</u>	<u>\$ 191,475</u>
Significant Noncash Transactions		
Donated pharmaceuticals	\$ 9,457	\$ 6,286
Noncash change in right-to-use assets	8,694	16,829
Construction in progress accrued	8,269	25,445
Unrealized gain on investments	230,831	236,631
Unrealized gain on derivative instruments	3,847	5,813

University of Colorado Hospital Authority

Statement of Fiduciary Net Position - Pension Trust

	June 30, 2024 and 2023	
	(Dollars in Thousands)	
	2024	2023
Assets - Investments	\$ 1,844,745	\$ 1,564,116
Net Position - Restricted for pension benefits	\$ 1,844,745	\$ 1,564,116

University of Colorado Hospital Authority

Statement of Changes in Fiduciary Net Position - Pension Trust

Years Ended June 30, 2024 and 2023

(Dollars in Thousands)

	2024	2023
Additions		
Investment income:		
Increase in fair value of investments	\$ 134,383	\$ 95,315
Interest	20,956	14,959
Dividends and other	19,055	7,371
Net investment income	174,394	117,645
Contributions	163,333	145,200
Total additions	337,727	262,845
Deductions		
Benefit payments	51,723	48,943
Administrative expenses	5,375	4,676
Total deductions	57,098	53,619
Change in Fiduciary Net Position	280,629	209,226
Net Position - Beginning of year	1,564,116	1,354,890
Net Position - End of year	\$ 1,844,745	\$ 1,564,116

University of Colorado Hospital Authority

Statement of Fiduciary Net Position - Health Benefits Trust

	June 30, 2024 and 2023	
	(Dollars in Thousands)	
	2024	2023
Assets - Cash and cash equivalents	\$ -	\$ 3,161
Liabilities - Unpaid claims	-	2,779
Net Position - Restricted for health benefits	<u>\$ -</u>	<u>\$ 382</u>

University of Colorado Hospital Authority

Statement of Changes in Fiduciary Net Position - Health Benefits Trust

Years Ended June 30, 2024 and 2023

(Dollars in Thousands)

	2024	2023
Additions		
Employer contributions	\$ 156,611	\$ 312,891
Employee contributions	34,072	56,837
Interest income	65	81
Total additions	190,748	369,809
Deductions		
Benefit payments	190,770	359,645
Administrative expenses	360	11,392
Total deductions	191,130	371,037
Change in Fiduciary Net Position	(382)	(1,228)
Net Position - Beginning of year	382	1,610
Net Position - End of year	<u>\$ -</u>	<u>\$ 382</u>

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 1 - Organization and Mission

The University of Colorado Hospital Authority (UCHA) was created pursuant to Section 23-21-503 of the Colorado Revised Statutes and is a political subdivision and body corporate of the State of Colorado. UCHA owns and operates a nonsectarian, general acute-care hospital; the Anschutz Centers for Advanced Medicine, which includes a variety of inpatient and outpatient pavilions, the Anschutz Cancer Pavilion, the Center for Dependency, Addiction and Rehabilitation (CeDAR), and the Rocky Mountain Lions Eye Institute; outlying outpatient primary care and specialty clinics; and the University of Colorado Hospital Foundation (the "Foundation"). These combined entities are collectively known as UCHA. UCHA is the primary teaching hospital for the University of Colorado Denver (UCD), which is composed of the Schools of Medicine, Nursing, Pharmacy, and Dentistry; the Graduate School; and the School of Public Health. UCHA's mission is to advance health care for its patients and their families through healing, discovery, and education.

Effective July 1, 2012, UCHA entered into a joint operating agreement with Poudre Valley Health Care Inc. (PVHS) and University of Colorado Health (UCHealth or the "Health System"), a newly formed nonprofit corporation (collectively, the "members"), resulting in a joint venture among the organizations. The joint venture enhances the capacity of the members to protect, sustain, and expand their respective missions. As a joint venture, all future operations of UCHA will be combined with PVHS, and, together, these combined operations will be the basis for possible future expansion and diversification of the Health System. Under the joint operating agreement, the members of the joint venture are members of the obligated group under UCHA's master trust indenture and, thereby, pledge their gross revenue to secure each member's obligations. UCHA and PVHS are reported as component units of UCHealth in UCHealth's separately issued basic financial statements.

Subsequent to the formation of the joint venture, UCHealth formed UCH-MHS, a nonprofit corporation, for the purpose of acquiring the assets of Memorial Health System. Collectively, PVHS, UCH-MHS, and the Health System are referred to as affiliates of UCHA.

The Foundation is a tax-exempt organization under Section 501(c)(3) of the Internal Revenue Code (the "Code"). The Foundation is considered a blended component unit of UCHA. The Foundation serves as the primary fundraising arm for UCHA and manages restricted and unrestricted donations received for future use by UCHA. Although UCHA does not control the timing or amount of receipts from the Foundation, the majority of the resources or income thereon is restricted to the activities of UCHA by the donors. Because these restricted resources held by the Foundation can be used only by or for the benefit of UCHA and because the Foundation exists for the sole benefit of UCHA, the Foundation is considered a blended component unit of UCHA. All interentity transactions have been eliminated in the basic financial statements.

The accompanying basic financial statements reflect the operations and financial position of UCHA, its component unit, and its fiduciary (pension trust and health benefits trust) funds. UCHA is not an agency of the state government and is not subject to administrative direction or control by the Regents of the University of Colorado (the "Regents") or any department, commission, board, or agency of the State. Members of UCHA's board of directors (the "Board") are appointed by the Regents.

Note 2 - Summary of Significant Accounting Policies

Basis of Presentation

The accompanying basic financial statements have been prepared on the accrual basis of accounting and the economic resource measurement focus in accordance with accounting principles generally accepted in the United States of America.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 2 - Summary of Significant Accounting Policies (Continued)

The accounts of UCHA are organized on the basis of funds, each of which is considered a separate accounting entity. The operations of each fund are accounted for with a separate set of self-balancing accounts that comprise its assets, deferred outflows of resources, liabilities, deferred inflows of resources, net position, and revenue and expenses, as appropriate.

The enterprise fund is used to account for UCHA's ongoing activities. The statement of net position; statement of revenue, expenses, and changes in net position; and statement of cash flows do not include the pension trust fund or the health benefits trust fund.

The pension trust fund is used to account for assets held in trust for the benefit of the employees of UCHA for the noncontributory defined benefit pension plan (the "Basic Pension Plan"). In accordance with Governmental Accounting Standards Board (GASB) Statement No. 34, *Basic Financial Statements - and Management's Discussion and Analysis - for State and Local Governments*, the assets and net position of the pension trust fund are presented separately from the enterprise fund. The basic financial statements of the pension trust fund are prepared using the accrual basis of accounting. Employer contributions to the Basic Pension Plan are recognized when due. Benefits are recognized when due and payable in accordance with the terms of the Basic Pension Plan.

In fiscal year 2023 and prior, the health benefits trust fund was used to account for assets held in trust for the benefit of the employees of UCHA for the health and welfare benefit plan (the "Health and Welfare Plan"). In accordance with the GASB Statement No. 34, *Basic Financial Statements - and Management's Discussion and Analysis - for State and Local Governments*, the assets and net position of the health and welfare trust fund are presented separately from the enterprise fund. The basic financial statements of the health and welfare trust fund are prepared using the accrual basis of accounting. Employer contributions to the Health and Welfare Plan are recognized when due. Benefits are recognized when due and payable in accordance with the terms of the Health and Welfare Plan. The health benefits trust fund was closed during fiscal year 2024; at the time the trust was closed, the remaining assets were used to satisfy obligations of the Health and Welfare Plan.

Use of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, deferred outflows of resources, liabilities and deferred inflows of resources; disclosure of contingent assets and liabilities at the date of the financial statements; and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates.

Net Position

UCHA's net position is classified as follows:

- Invested in capital assets - Net of related debt - Consists of capital assets net of accumulated depreciation and amortization reduced by the amount of outstanding debt issued to finance the purchase or construction of those assets
- Restricted - Consists of net position subject to stipulations imposed by external parties, such as creditors (through debt covenants) and donors. The nonexpendable portion includes net position required through agreement with donors to be retained in perpetuity
- Unrestricted - Consists of the remaining net position that is available for unrestricted use

When UCHA has both restricted and unrestricted resources available to finance a particular program, it is UCHA's practice to use restricted resources before unrestricted resources.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 2 - Summary of Significant Accounting Policies (Continued)

Cash and Cash Equivalents

Cash and cash equivalents include cash and investments in highly liquid investments with an original maturity of three months or less when purchased, excluding amounts restricted under trust agreements.

Accounts Receivable

Patient accounts receivable are stated at net realizable value. An allowance for uncollectible accounts is established on an aggregate basis by using historical write-off factors applied to unpaid amounts based on aging and other factors. Loss rate factors are based on historical loss experience and adjusted for economic conditions and other trends affecting UCHA's ability to collect outstanding amounts. Uncollectible amounts are written off against the allowance for uncollectible accounts in the period they are determined to be uncollectible. An allowance for contractual adjustments is based on expected payment rates from payors based on current reimbursement methodologies.

Investments, Assets Designated for Long-term Purposes, and Restricted Investments

Investments include undesignated investments.

Assets designated for long-term purposes consist of assets designated by the board of directors for purchases of long-term assets and funding of long-term liabilities and commitments. The Board retains complete control over these assets and may, at its discretion, subsequently use these assets for other purposes.

Restricted investments include assets restricted by donors and assets held by trustees under insurance agreements.

UCHA records all debt and equity investment securities at fair value. Fair values are based on quoted market prices, if available, or are estimated using quoted market prices for similar securities. Securities traded on a national or international exchange are valued at the last reported sale price at current exchange rates. Interest, dividends, and realized and unrealized gains and losses, based on the specific identification method, are included in nonoperating revenue and expenses when earned.

UCHA's enterprise fund and the Basic Pension Plan hold assets that include alternative investments, which are not readily marketable and are carried at fair value, as provided by the investment managers. UCHA reviews and evaluates the values provided by the investment managers and agrees with the valuation methods and assumptions used in determining the fair value of the alternative investments. Those estimated fair values may differ significantly from the values that would have been used had a ready market for these securities existed.

Inventories

Inventories, which consist primarily of pharmaceuticals and medical supplies, are valued under a combination of the lower of cost (first in, first out) or market and a weighted average.

Capital Assets

Capital assets are recorded at cost or, if donated, at acquisition value at the date of receipt. All capital assets are depreciated or amortized over the estimated useful life of each class of assets using the straight-line method. Useful lives for buildings and improvements are 20 to 40 years, equipment is 3 to 15 years, and leasehold improvements are 3 to 20 years. Depreciation expense includes depreciation on assets held and used solely by UCHA in addition to allocated depreciation expense on assets held by the Health System. Capital assets are defined by UCHA as assets with an initial cost of \$5 or more and an estimated useful life in excess of one year.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 2 - Summary of Significant Accounting Policies (Continued)

UCHA's long-lived assets consist primarily of buildings and building improvements, equipment, and leasehold improvements, which are subject to the provisions of GASB Statement No. 42, *Accounting and Financial Reporting for Impairment of Capital Assets and for Insurance Recoveries*.

Leases and SBITAs

UCHA obtains the right to use vendors' equipment and real estate through various long-term contracts. UCHA recognizes a lease liability and an intangible right-to-use asset in the basic financial statements.

UCHA obtains the right to use vendors' information technology software through various long-term contracts referred to as subscription-based information technology agreements (SBITAs). UCHA recognizes a subscription liability and an intangible right-to-use asset in the basic financial statements.

At the commencement of an agreement, UCHA initially measures the liability at the present value of payments expected to be made during the agreement term. The agreement term includes the noncancelable period of the agreement. Subsequently, the liability is reduced by the principal portion of payments made. The right-to-use asset is initially measured as the initial amount of the liability, adjusted for payments made at or before the agreement commencement date, plus initial implementation costs. Subsequently, the assets are amortized on a straight-line basis over the shorter of the useful life of the underlying assets or the agreement terms.

UCHA uses the interest rate charged by the vendor as the discount rate. When the interest rate charged by the vendor is not provided, UCHA generally uses its estimated incremental borrowing rate as the discount rate for the agreements.

UCHA monitors changes in circumstances that would require a remeasurement of its right-to-use assets and will remeasure the right-to-use asset and related liability if certain changes occur that are expected to significantly affect the amount of the related liability.

Right-to-use assets are reported within capital assets, net of accumulated amortization, and related liabilities are reported within long-term debt in the accompanying statement of net position.

Deferred Amortization on Refundings

For bond refundings resulting in the defeasance of debt, the difference between the reacquisition price and the net carrying amount of the old debt is reported as a deferred outflow or inflow of resources and amortized using the effective interest rate method over the shorter of the life of the old debt or the life of the new debt.

Compensated Absences

UCHA records liabilities related to compensated absences for leave that has not been used and leave that has been used but not yet paid in cash or settled through noncash means. A liability is recognized for leave that has not been used if the leave is attributable to services already rendered, the leave accumulates, and the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. Employees of UCHA use paid time off (PTO) for vacation, holidays, personal short-term illness, family member illness, and personal absences. UCHA employees generally earn PTO based on length of service and actual hours worked. UCHA records PTO expense as it is earned. The current portion of PTO is based on employee tenure, rate of pay, and accrued hours. Amounts in excess of an employee's annual accrual are classified as other long-term liabilities.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 2 - Summary of Significant Accounting Policies (Continued)

Financial Instruments

Financial instruments consist of cash and cash equivalents, accounts receivable, restricted investments, long-term investments, assets designated for long-term purposes, interest rate swap agreements, current liabilities, and long-term debt obligations. The carrying amounts reported in the statement of net position for cash and cash equivalents, accounts receivable, and current liabilities approximate fair value. Management's estimate of the fair value of the other financial instruments is described in Notes 5, 6, and 10.

UCHA utilizes interest rate swaps to cover exposure to changes in interest rates. The fair value of these derivative instruments is required to be recognized as either an asset or liability on the statement of net position. Changes in fair values of derivative instruments that are determined to be ineffective hedges, as is the case with UCHA's interest rate swaps, are reported within nonoperating revenue and expenses in the period in which the change in fair value occurs.

Endowments

UCHA's endowments consist of individual funds restricted by donors for a variety of purposes. The State of Colorado's Uniform Prudent Management of Institutional Funds Act requires preservation of the fair value of the original gift as of the gift date of the donor-restricted endowment funds absent explicit donor stipulations to the contrary. As a result of this, UCHA classifies as nonexpendable restricted net position the original value of the gifts donated to the permanent endowment. The appreciation on donor-restricted endowment funds is classified as expendable restricted net position until those amounts are appropriated for expenditure by UCHA. UCHA may spend the net appreciation on the endowment funds based on the individual endowment fund agreements and considers factors such as duration and preservation of the fund, purposes of the fund, general economic conditions, possible effects of inflation and deflation, expected total return from investment income, and other resources of the UCHA Foundation when determining the amounts to authorize and spend in an individual year. The amount of net appreciation on endowments that was available for expenditure at June 30, 2024 and 2023 was \$2,276 and \$3,070, respectively.

Revenue and Expenses

UCHA's statement of revenue, expenses, and changes in net position distinguish between operating and nonoperating revenue and expenses. Operating revenue results from exchange transactions associated with providing health care services and includes patient service and other revenue. Nonexchange revenue includes investment income and restricted contributions and is reported as nonoperating revenue. Operating expenses are all expenses incurred to provide health care services. Nonoperating expenses include interest expense, fundraising activities, and gain or loss on discontinued operations and disposal of capital assets.

Net Patient Service Revenue

Net patient service revenue is reported at the estimated net realizable amounts from patients, third-party payors, and others for services rendered.

Amounts reimbursed for services rendered to patients covered under the Medicare and Medicaid programs are generally less than established billing rates. UCHA also provides services to beneficiaries of certain other third-party payor programs at amounts less than its established rates based on contractual arrangements. Differences between established billing rates and amounts reimbursed are recognized as contractual adjustments.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 2 - Summary of Significant Accounting Policies (Continued)

Risk Management

UCHA is exposed to various risks of loss from torts; theft of, damage to, and destruction of assets; business interruption; fiduciary liability; errors and omissions; employee injuries and illnesses; natural disasters; and employee health, dental, and accident benefits. UCHA is insured for medical malpractice claims and judgments through the University of Colorado Self-Insurance and Risk Management Trust. UCHA is self-insured for employee health and dental benefits through the health benefits trust. Insurance coverage for all other lines of insurance, including theft, property damage, occupational and nonoccupational injuries and accidents, business interruption, automobile, nonowned aircraft, errors and omission, and fiduciary, are covered by commercial insurance companies.

Income Taxes

UCHA is a political subdivision and body corporate of the State of Colorado and, as such, the income generated by UCHA in the exercise of its essential government function is exempt from federal income tax under Section 115 of the Code. UCHA also has a determination letter from the IRS, which states that it is exempt under 501(a) as an organization described in Section 501(c)(3) of the Code. UCHA has recognized a tax liability of \$1,464 and \$1,579 at June 30, 2024 and 2023, respectively, for unrelated business income taxes.

Pension Trust

UCHA accounts for its pension plan under GASB Statement No. 67, *Financial Reporting for Pension Plans - An Amendment of GASB Statement No. 25*, and GASB Statement No. 68, *Accounting and Financial Reporting for Pensions - An Amendment of GASB Statement No. 27*. GASB Statement No. 67 establishes standards of financial reporting for separately issued financial reports of defined benefit pension plans and specifies the required approach to measuring the pension liability of employers and nonemployer contributing entities for benefits provided through the pension plan, about which information is required to be presented. GASB Statement No. 68 establishes financial reporting requirements for most governmental entities that provide their employees with pension benefits.

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Basic Pension Plan and additions to/deductions from the Basic Pension Plan's fiduciary net position have been determined on the same basis as they are reported by the Basic Pension Plan. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Health Benefits Trust

UCHealth accounts for its health benefits trust under GASB Statement No. 84, *Fiduciary Activities*, which establishes criteria for identifying fiduciary activities of governments and how those activities should be reported. The health benefits trust was closed during fiscal year 2024.

Adoption of New Accounting Pronouncement

In June 2022, the GASB issued Statement No. 101, *Compensated Absences*, which updates the recognition and measurement guidance for compensated absences under a unified model. This statement requires that liabilities for compensated absences be recognized for leave that has not yet been used and leave that has been used but not yet paid in cash or settled through noncash means and establishes guidance for measuring a liability for leave that has not been used. It also updates disclosure requirements for compensated absences. UCHA adopted the provisions of GASB Statement No. 101 on a retrospective basis, as shown in Note 17.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 2 - Summary of Significant Accounting Policies (Continued)

Upcoming Accounting Pronouncements

In December 2023, the Government Accounting Standards Board issued Statement No. 102, *Certain Risk Disclosures*, which requires governments to assess whether a concentration or constraint makes the government vulnerable to the risk of a substantial impact. It also requires governments to assess whether an event or events associated with a concentration or constraint that could cause the substantial impact have occurred, have begun to occur, or are more likely than not to begin to occur within 12 months of the date the financial statements are issued. If certain criteria are met for a concentration or constraint, disclosures are required in the notes to the financial statements. The provisions of this statement are effective for UCHA's financial statements for the year ending June 30, 2025. Management is currently assessing the impact of the new standard on its financial statements.

In April 2024, the Government Accounting Standards Board issued Statement No. 103, *Financial Reporting Model Improvements*, which includes improved reporting requirements for several components included in a government's financial statements, including the MD&A, unusual or infrequent items, and major component unit information, among others. The provisions of this statement are effective for UCHA's financial statements for the year ending June 30, 2026. Management is currently assessing the impact of the new standard on its financial statements.

Note 3 - Net Patient Service Revenue

UCHA has programs that receive add-on payments to the established rate or that are paid at a reasonable cost by third-party payors. Amounts received for these additional payments from Medicare, Medicaid, and TriCare programs are subject to audit and retroactive adjustment. Generally, provisions for estimated retroactive adjustments under such programs are provided in the period the related services are rendered and adjusted in future periods as final settlements are determined. Net patient service revenue under the Medicare and Medicaid programs in 2024 and 2023 was \$883,563 and \$808,312, respectively.

Medicare

Inpatient acute-care services rendered to Medicare beneficiaries are paid at prospectively determined rates per discharge. These rates vary according to a diagnosis-related group patient classification system that is based on clinical, diagnostic, and other factors. Outpatient services related to Medicare beneficiaries are paid based upon the Ambulatory Payment Classification system. UCHA is reimbursed for cost-reimbursable items at a tentative rate with final settlement determined after submission of annual cost reports by UCHA and audits thereof by the Medicare administrative contractor. UCHA's classifications of patients under the Medicare program and medical necessity of procedures performed are subject to an independent audit by a peer review organization under contract with UCHA. UCHA's Medicare cost reports have been audited and settled by the Medicare Administrative Contractor (the "MAC") through June 30, 2020.

Medicaid

Inpatient services rendered to Medicaid beneficiaries are reimbursed under a prospectively determined system similar to Medicare. Prior to October 31, 2016, outpatient services were reimbursed by a combination of fee schedule and a tentative payment rate, with final settlement determined after submission of an annual cost report by UCHA and audits thereof by the Medicaid fiscal intermediary. Beginning on October 31, 2016, outpatient services are reimbursed based on the product of a hospital-specific base rate and the Enhanced Ambulatory Patient Groups' adjusted relative weight. UCHA's classification of patients under the Medicaid program and medical necessity of procedures performed are subject to an independent audit by a peer review organization under contract with UCHA. UCHA's Medicaid cost reports have been audited and settled by the Medicaid fiscal intermediary through June 30, 2014.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 3 - Net Patient Service Revenue (Continued)

Other Payors

UCHA has also entered into payment agreements with commercial insurance carriers, health maintenance organizations, and preferred provider organizations. The basis for payment to UCHA under these agreements generally includes prospectively determined rates per discharge, discounts from established charges, and prospectively determined daily rates.

Self-pay

UCHA maintains a self-pay discount program in which self-pay patients automatically receive a discount on total charges. This program reduces uninsured patients' liabilities to a level more equivalent to insured patients. Discounts for this program were \$306,305 and \$172,839 in 2024 and 2023, respectively.

Disproportionate Share Hospital and Charity Care Policy

In 2010, the State of Colorado modified the CICP Safety Net Provider Program with the Colorado Health Care Affordability Act (the "Act"). The Act authorizes the Department of Health Care Policy & Financing to collect a fee from hospital providers to generate additional federal Medicaid matching funds to increase payments to hospitals and expand coverage under public health care programs. For the years ended June 30, 2024 and 2023, UCHA was charged \$119,364 and \$119,246, respectively, in hospital provider fees and received \$193,443 and \$163,742, respectively, in disproportionate share and Medicaid supplemental payments as compensation for indigent and underinsured care services provided.

Based on an analysis of the direct and indirect costs of the procedures performed, the cost of charity care services provided, including those provided under the State of Colorado's Hospital Discounted Care Program, was \$89,714 and \$52,057 for the years ended June 30, 2024 and 2023, respectively.

Note 4 - Restricted and Unrestricted Pledges

UCHA records pledges as restricted or unrestricted receivables based on the donors' specifications and UCHA's satisfaction of the donors' restrictions. Long-term receivables are discounted to reflect the net present value of the pledge and amortized over the life of the pledge.

The current balance of contributions receivable, included in other receivables in the accompanying statement of net position, at June 30, 2024 was \$918, all of which is unrestricted. The current balance of unrestricted contributions receivable at June 30, 2023 was \$1,995, all of which is unrestricted.

Note 5 - Deposits and Investments

Colorado statutes require that UCHA use eligible public depositories for all cash deposits, as defined by the Public Deposit Protection Act (PDPA). Under the PDPA, the depository is required to pledge eligible collateral having a market value at all times equal to at least 102 percent of the aggregate public deposits held by the depository not insured by the Federal Deposit Insurance Corporation.

Eligible collateral, as defined by the PDPA, primarily includes obligations of, or guarantees by, the U.S. government, the State of Colorado, or any political subdivision thereof, and obligations evidenced by notes secured by first lien mortgages or deeds of trust on real property.

At June 30, 2024 and 2023, UCHA's unrestricted cash deposits had a book balance of \$238,423 and \$98,891, respectively, and a bank balance of \$275,563 and \$139,293, respectively. UCHA's receivables and investments restricted by donors included cash deposits that had a book and bank balance of \$32,686 and \$30,352 at June 30, 2024 and 2023, respectively. The difference between the bank balance and the book balance is related to outstanding reconciling items. These balances are covered by federal depository insurance up to the applicable maximum, as applicable. Effectively all of UCHA's bank balances exceed the federal depository insurance.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 5 - Deposits and Investments (Continued)

The members effectively pool their cash and investments within UCHHealth's investment account structure to ease the cash and investment functions within the Health System. The balances below as of June 30, 2024 and 2023 reflect UCHA's share of the cash and investments held at the Health System level.

	2024		
	Deposits	Investments	Total
Enterprise fund:			
Cash and cash equivalents	\$ 238,423	\$ -	\$ 238,423
Restricted investments - By donor	-	39,038	39,038
Investments designated for liquidity support	-	203,600	203,600
Long-term investments	-	1,857,601	1,857,601
Assets designated for long-term purposes	-	1,400,632	1,400,632
Total	<u>\$ 238,423</u>	<u>\$ 3,500,871</u>	<u>\$ 3,739,294</u>
	2023		
	Deposits	Investments	Total
Enterprise fund:			
Cash and cash equivalents	\$ 98,891	\$ -	\$ 98,891
Restricted investments - Other	-	681	681
Restricted investments - By donor	-	35,149	35,149
Investments designated for liquidity support	-	211,855	211,855
Long-term investments	-	1,340,746	1,340,746
Assets designated for long-term purposes	-	1,437,614	1,437,614
Total	<u>\$ 98,891</u>	<u>\$ 3,026,045</u>	<u>\$ 3,124,936</u>

The following is a summary of enterprise fund investments at fair value at June 30:

	2024	2023
Cash equivalents	\$ 77,354	\$ 39,146
U.S. Treasury bills	266,913	158,499
U.S. government agency, pool, and mortgage-backed securities	252,306	198,760
Asset-backed securities	242,492	154,041
Mutual bond funds	401,123	323,211
Treasury inflation-protected securities (TIPS)	155,729	139,646
Alternative investments	53,154	40,983
Corporate bonds	344,226	250,900
Equity securities	1,700,240	1,697,374
Interest rate swaps	21,662	14,116
Interest and dividends receivable	315	1,012
Miscellaneous investment (payable) receivable	(14,643)	8,357
Total investments	<u>\$ 3,500,871</u>	<u>\$ 3,026,045</u>

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 5 - Deposits and Investments (Continued)

The following is a summary of pension trust fund investments at fair value at June 30:

	2024	2023
Cash equivalents	\$ 16,274	\$ 23,680
U.S. Treasury bills	110,265	92,857
U.S. government agency, pool, and mortgage-backed securities	106,880	82,435
Asset-backed securities	74,322	45,140
TIPS	46,363	43,125
Corporate bonds	123,787	95,986
Alternative investments	193,240	183,402
Private real estate	136,734	133,268
Mutual bond funds	95,828	85,784
Other mutual funds	943,416	789,312
Interest and dividends payable	(86)	(46)
Miscellaneous investment payable	(2,278)	(10,827)
Total investments	<u>\$ 1,844,745</u>	<u>\$ 1,564,116</u>

The following is a summary of health benefits trust fund investments at fair value at June 30:

	2024	2023
Cash and cash equivalents	\$ -	\$ 2,836

Credit Risk

UCHA's investment policy statements for the enterprise and pension trust funds apply the prudent person rule. Investment responsibilities shall be undertaken "with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in like capacity and familiar with such matters would use."

UCHA's enterprise and pension trust fund investments in U.S. agency, pool, and mortgage-backed securities are limited to investments rated AAA or AA. UCHA's enterprise and pension trust funds' asset-backed securities, corporate bonds, and private placements are limited to securities rated Baa3 or BBB- or higher. Under certain circumstances, UCHA's equity investment managers are allowed to purchase fixed-income securities that are convertible into equities. In these circumstances, the guidelines set forth for the specific equity manager supersede the fixed-income quality guidelines. The quality ratings mentioned above are required by at least one major credit rating agency at the time of purchase.

The following is a summary of enterprise fund investments at June 30, 2024 and 2023. The ratings are presented as the lower of Standard & Poor's or Moody's rating using the S&P scale:

	2024		2023	
	Fair Value	Average Rating	Fair Value	Average Rating
U.S. government agency, pool, and mortgage-backed securities	\$ 252,306	AA+	\$ 198,760	AA+
Asset-backed securities	242,492	AA+	154,041	AA+
Mutual bond funds	401,123	BBB	323,211	BBB+
TIPS	155,729	AA-	139,646	AA+
Corporate bonds	344,226	A-	250,900	BBB+

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 5 - Deposits and Investments (Continued)

The following is a summary of pension trust fund investments at June 30, 2024 and 2023, with average credit ratings based on the lower of Standard & Poor's or Moody's rating using the S&P scale:

	2024		2023	
	Fair Value	Average Rating	Fair Value	Average Rating
U.S. government agency, pool, and mortgage-backed securities	\$ 106,880	AA+	\$ 82,435	AA+
Asset-backed securities	74,322	AA+	45,140	AA+
Mutual bond funds	95,828	BB-	85,784	BB-
TIPS	46,363	AA	43,125	AAA
Corporate bonds	123,787	BBB+	95,986	BBB+

Interest Rate Risk

UCHA's enterprise and pension trust fund investment policies manage its exposure to fair value losses arising from rising interest rates by investment manager-specific guidelines that benchmark and limit the duration of its investment portfolio.

As of June 30, 2024 and 2023, the enterprise fund held the following investments. Modified duration is in years.

	2024		2023	
	Fair Value	Modified Duration	Fair Value	Modified Duration
U.S. Treasury bills	\$ 266,913	7.93	\$ 158,499	10.81
U.S. government agency, pool, and mortgage-backed securities	252,306	5.89	198,760	6.36
Asset-backed securities	242,492	2.29	154,041	2.30
Mutual bond funds	401,123	4.18	323,211	4.36
TIPS	155,729	5.85	139,646	5.38
Corporate bonds	344,226	4.14	250,900	3.89

As of June 30, 2024 and 2023, the pension trust fund held the following investments. Modified duration is in years.

	2024		2023	
	Fair Value	Modified Duration	Fair Value	Modified Duration
U.S. Treasury bills	\$ 110,265	9.18	\$ 92,857	11.16
U.S. government agency, pool, and mortgage-backed securities	106,880	5.49	82,435	5.72
Asset-backed securities	74,322	3.31	45,140	3.58
Mutual bond funds	95,828	5.09	85,784	5.50
TIPS	46,363	5.10	43,125	6.70
Corporate bonds	123,787	5.77	95,986	4.20

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 5 - Deposits and Investments (Continued)

Foreign Currency Risk

UCHA's enterprise and pension trust fund investment policies manage exposure to foreign currency risk by limiting the allocation percentage of international mutual funds to 5 to 15 percent of the total fair value for the enterprise fund and 10 to 30 percent of the total fair value for the pension trust fund. All of UCHA's investments exposed to foreign currency risk are held in international equities and international mutual funds. UCHA's enterprise and pension trust fund investments are exposed to foreign currency risk, as illustrated in the following table as of June 30, 2024 and 2023:

	Enterprise Fund Fair Value		Pension Trust Fund Fair Value	
	2024	2023	2024	2023
Argentine peso	\$ -	\$ 169	\$ -	\$ 167
Australian dollar	14,310	12,631	14,244	10,753
Bahraini dinar	(29)	(27)	(59)	(48)
Brazilian real	6,084	8,323	5,483	2,942
Canadian dollar	16,321	15,214	16,780	14,326
Chilean peso	(82)	(1,666)	91	(1,842)
Chinese offshore renminbi	7,609	(1,530)	11,934	-
Chinese renminbi	14,168	17,608	28,227	18,070
Columbian peso	111	954	83	908
Czech koruna	(2,577)	(2,605)	(3,280)	(4,456)
Danish krone	10,196	7,479	5,669	3,850
Egyptian pound	(429)	1,167	(634)	1,656
Euro	96,085	94,727	86,320	74,546
Hong Kong dollar	5,472	13,207	(1,707)	17,069
Hungarian forint	(652)	(1,489)	(1,394)	(2,252)
Indian rupee	18,266	13,921	22,518	14,669
Indonesian rupiah	2,570	2,076	2,626	1,980
Israel new Shekel	1,052	1,835	1,306	2,432
Japanese yen	71,558	75,542	66,547	55,727
Kazakhstan tenge	(201)	-	(234)	-
Korean won	13,292	14,840	16,134	12,770
Kuwaiti dinar	17	9	256	327
Malaysian ringgit	51	38	507	453
Mexican peso	2,045	3,614	2,975	4,830
Moroccan dirham	48	-	29	-
New Taiwan dollar	17,771	14,381	22,329	15,780
New Turkish lira	1,034	5,925	944	8,525
New Zealand dollar	(1,757)	(435)	(2,765)	(357)
Norwegian krone	10,456	16,603	2,721	187
Omani rial	(278)	(27)	(674)	(12)
Pakistani rupee	1	1	103	-
Peru new Sol	(131)	567	61	1,078
Phillipines peso	615	2,116	818	2,885
Polish zloty	(1,250)	(534)	(1,695)	(1,053)
Qatari riyal	(116)	(188)	248	299
Romanian leu	(488)	(16)	(893)	-
Russian ruble	1,152	1,414	147	383
Saudi riyal	(1,554)	191	(504)	1,950
Serbian dinar	38	400	-	-
Singapore dollar	2,539	666	3,190	(1,494)
South African rand	3,054	4,923	2,541	3,605
Swedish krona	6,367	6,181	5,689	5,948
Swiss franc	26,239	24,001	23,337	19,502
Thailand baht	(347)	(189)	468	515
United Arab Emirates dirham	328	991	839	1,626
United Kingdom pound sterling	48,319	54,415	40,286	41,654
Total	\$ 387,277	\$ 407,423	\$ 371,611	\$ 329,898

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 5 - Deposits and Investments (Continued)

Concentration of Credit Risk

UCHA's enterprise and pension trust fund investment policies state that the equity and fixed-income portfolio should be well-diversified to avoid undue exposure to any single economic sector, industry, or individual security. UCHA has evaluated all investments at June 30, 2024 and confirmed that no more than 5 percent of total investments are held in any one issuer except for securities issued by the U.S. government and its agencies.

Additionally, UCHA's enterprise and pension trust fund investment policies state that within each equity investment manager, portfolio exposure is generally limited to 5 percent to 7.5 percent of assets for any single issuer, subject to exceptions for the most heavily weighted securities in the index. Within each fixed-income portfolio investment manager, except for securities issued by the U.S. government and its agencies, no more than 5 percent of the fixed-income portfolio, based on market value, shall be invested in the securities of any one issuing entity at the time of purchase. At June 30, 2024, the fixed-income and equity investment managers were in compliance with the stated diversification policy.

Note 6 - Investments with Fair Values that are Highly Sensitive to Interest Rate Changes

UCHA uses interest rate swap agreements to manage interest costs and risks associated with changing interest rates. Interest rate swaps necessarily involve counterparty credit risk. UCHA seeks to control this risk by entering into transactions with high-quality counterparties and through exposure monitoring. Interest rate swaps are used to manage the interest rate exposure of certain variable-rate bond issuances. The counterparties to the interest rate swap contracts are major financial institutions that are rated Aa3 and A2 by Moody's. The estimated fair value of interest rate swaps, which is the gross unrealized market gain or loss, is based on quotes obtained from the counterparties. UCHA's credit risk on the swaps is limited to any positive fair value of the financial instruments.

During the years ended June 30, 2024 and 2023, UCHA was party to two swap agreements as follows:

- A fixed-to-floating swap agreement having an original and current notional value of \$152,075, reducing on the dates and the amounts set forth in the Series 2017A bond offering documents describing principal payments. This agreement was entered into in February 2017. Under the terms of the total return swap agreement, UCHA receives an amount equal to the coupon of the bonds (4.625 percent) and makes payments based on the Securities Industry and Financial Markets Association (SIMFA) Index plus 40 basis points. UCHA settles with the counterparty semiannually each May and November. The swap agreement carries a 10-year term. At June 30, 2024 and 2023, this swap had an approximate positive fair value of \$172 and \$148, respectively.
- A floating-to-fixed swap agreement having an original and current notional value of \$195,195, reducing on the dates and the amounts set forth in the 2012B, 2012C, and 2017B1 bond series offering documents describing principal payments. The swap agreement includes a fixed payor rate of 1.971 percent, and UCHA will receive 70 percent of the one-month SOFR for the entire swap term, which expires in November 2046. Settlements are to be made monthly. At June 30, 2024 and 2023, this swap had an approximate positive fair value of \$21,490 and \$13,968, respectively.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 6 - Investments with Fair Values that are Highly Sensitive to Interest Rate Changes (Continued)

In 2024 and 2023, the swaps produced annual net cash inflows of \$4,897 and \$2,637, respectively. The other cash flows associated with the floating-to-fixed swaps are treated as interest expense. According to GASB Statement No. 53, *Accounting and Financial Reporting for Derivative Instruments*, none of UCHA's swap agreements qualify as effective hedging derivative instruments. Swap agreements tied directly to a bond issuance are reported within long-term investments on the statement of net position, and changes in fair value are reported as unrealized gain (loss) on derivative investments on the statement of revenue, expenses, and changes in net position.

Note 7 - Fair Value Measurements

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value is a market-based measurement, not an entity-specific measurement. As a basis for considering market participant assumptions in fair value measurements, UCHA utilizes the U.S. GAAP fair value hierarchy that distinguishes between market participant assumptions based on market data obtained from sources independent of the reporting entity (observable inputs that are classified within Levels 1 and 2 of the hierarchy) and the reporting entity's own assumption about market participant assumptions (unobservable inputs classified within Level 3 of the hierarchy).

The inputs used to measure fair value are classified into the following fair value hierarchy:

Level 1

Quoted market prices in active markets for identical assets or liabilities.

Level 2

Observable market-based inputs or unobservable inputs that are corroborated by market data.

Level 3

Unobservable inputs that are supported by little or no market activity and are significant to the fair value of the assets or liabilities. Level 3 includes values determined using pricing models, discounted cash flow methodologies, or similar techniques reflecting UCHA's own assumptions.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 7 - Fair Value Measurements (Continued)

As of June 30, 2024, the enterprise fund held the following financial instruments, by level, within the fair value hierarchy:

	2024			
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total
U.S. Treasury bills	\$ -	\$ 266,913	\$ -	\$ 266,913
U.S. government agency, pool, and mortgage-backed securities	-	252,306	-	252,306
Asset-backed securities	-	241,838	654	242,492
Mutual bond funds	150,220	250,903	-	401,123
TIPS	82,485	73,244	-	155,729
Corporate bonds	-	344,226	-	344,226
Equity securities	894,545	805,695	-	1,700,240
Alternative investments	-	16,610	36,544	53,154
Interest rate swaps	-	21,662	-	21,662
Total investments by fair value level	<u>\$ 1,127,250</u>	<u>\$ 2,273,397</u>	<u>\$ 37,198</u>	<u>\$ 3,437,845</u>

As of June 30, 2023, the enterprise fund held the following financial instruments, by level, within the fair value hierarchy:

	2023			
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total
U.S. Treasury bills	\$ -	\$ 158,499	\$ -	\$ 158,499
U.S. government agency, pool, and mortgage-backed securities	-	198,760	-	198,760
Asset-backed securities	-	154,041	-	154,041
Mutual bond funds	113,790	209,421	-	323,211
TIPS	72,791	66,855	-	139,646
Corporate bonds	-	250,900	-	250,900
Equity securities	869,737	827,631	6	1,697,374
Alternative investments	-	15,606	25,377	40,983
Interest rate swaps	-	14,116	-	14,116
Total investments by fair value level	<u>\$ 1,056,318</u>	<u>\$ 1,895,829</u>	<u>\$ 25,383</u>	<u>\$ 2,977,530</u>

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 7 - Fair Value Measurements (Continued)

As of June 30, 2024, the pension trust fund held the following financial instruments, by level, within the fair value hierarchy:

	2024			
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total
U.S. Treasury bills	\$ -	\$ 110,265	\$ -	\$ 110,265
U.S. government agency, pool, and mortgage-backed securities	-	106,880	-	106,880
Asset-backed securities	-	73,858	464	74,322
TIPS	-	46,363	-	46,363
Corporate bonds	-	123,787	-	123,787
Alternative investments	-	150	193,090	193,240
Private real estate	-	28,290	108,444	136,734
Mutual bond funds	46,757	49,071	-	95,828
Other mutual funds	483,859	459,557	-	943,416
Total investments	\$ 530,616	\$ 998,221	\$ 301,998	\$ 1,830,835

As of June 30, 2023, the pension trust fund held the following financial instruments, by level, within the fair value hierarchy:

	2023			
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total
U.S. Treasury bills	\$ -	\$ 92,857	\$ -	\$ 92,857
U.S. government agency, pool, and mortgage-backed securities	-	82,435	-	82,435
Asset-backed securities	-	45,140	-	45,140
TIPS	-	43,125	-	43,125
Corporate bonds	-	95,986	-	95,986
Alternative investments	-	-	183,402	183,402
Private real estate	-	33,481	99,787	133,268
Mutual bond funds	41,464	44,320	-	85,784
Other mutual funds	401,462	387,850	-	789,312
Total investments	\$ 442,926	\$ 825,194	\$ 283,189	\$ 1,551,309

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 7 - Fair Value Measurements (Continued)

Mutual funds, TIPS, and equity securities classified in Level 1 of the fair value hierarchy are valued using prices quoted in active markets for those securities. U.S. Treasury bills, U.S. government debt securities, asset-backed securities, TIPS, corporate bonds, alternative investments, and mutual fund securities classified in Level 2 of the fair value hierarchy are valued using a matrix pricing technique. Matrix pricing is used to value securities based on the securities' relationship to benchmark quoted prices. Private real estate investments classified in Level 3 of the fair value hierarchy are valued using the income approach based on a discounted cash flow model, with reliance on other metrics used in the marketplace, including the analysis of comparable sales and relationship to replacement cost. Alternative investments, equity securities, and other mutual funds classified in Level 3 of the fair value hierarchy are valued by developing a range of values using multiple methodologies deemed relevant by market participants, including discounted cash flow models, market multiple models, and recent transaction multiples. Swap agreements classified in Level 2 of the fair value hierarchy are valued using interest rate and forward yield curve inputs.

The tables below reconcile the total fair value disclosures above to the total fair value of enterprise fund and pension trust fund investments as of June 30, 2024 and 2023, as disclosed in Note 5:

	2024	2023
Enterprise fund investments:		
Total investments by fair value level	\$ 3,437,845	\$ 2,977,530
Cash equivalents	77,354	39,146
Interest and dividends receivable	315	1,012
Miscellaneous investment (payable) receivable	(14,643)	8,357
Total enterprise fund investments	<u>\$ 3,500,871</u>	<u>\$ 3,026,045</u>
	2024	2023
Pension trust fund statements:		
Total investments by fair value level	\$ 1,830,835	\$ 1,551,309
Cash equivalents	16,274	23,680
Interest and dividends payable	(86)	(46)
Miscellaneous investment payable	(2,278)	(10,827)
Total pension trust fund investments	<u>\$ 1,844,745</u>	<u>\$ 1,564,116</u>

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 8 - Capital Assets

Capital assets consist of the following for the year ended June 30, 2024:

	Balance June 30, 2023	Additions	Transfers	Disposals	Balance June 30, 2024
Capital assets not being depreciated:					
Land	\$ 2,545	\$ -	\$ -	\$ -	\$ 2,545
Construction in progress	138,752	68,466	(104,990)	-	102,228
Total capital assets not being depreciated	141,297	68,466	(104,990)	-	104,773
Capital assets being depreciated:					
Buildings and improvements	1,359,581	-	53,201	-	1,412,782
Fixed and movable equipment	487,529	60,503	41,392	(5,672)	583,752
Right-to-use assets - Land	7,290	-	-	-	7,290
Right-to-use assets - Buildings	60,369	8,553	-	(12,657)	56,265
Right-to-use assets - Equipment	7,151	792	-	(384)	7,559
Right-to-use assets - SBITA	2,400	721	-	-	3,121
Total capital assets being depreciated	1,924,320	70,569	94,593	(18,713)	2,070,769
Accumulated depreciation and amortization:					
Buildings and improvements	424,951	45,751	58	-	470,760
Fixed and movable equipment	370,807	53,656	(1,541)	(5,505)	417,417
Right-to-use assets - Land	3,304	408	-	-	3,712
Right-to-use assets - Buildings	18,796	9,216	-	(11,844)	16,168
Right-to-use assets - Equipment	828	805	-	(378)	1,255
Right-to-use assets - SBITA	1,358	844	-	-	2,202
Total accumulated depreciation and amortization	820,044	110,680	(1,483)	(17,727)	911,514
Net capital assets	\$ 1,245,573	\$ 28,355	\$ (8,914)	\$ (986)	\$ 1,264,028

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 8 - Capital Assets (Continued)

Capital assets consist of the following for the year ended June 30, 2023:

	Balance June 30, 2022	Additions	Transfers	Disposals	Balance June 30, 2023
Capital assets not being depreciated:					
Land	\$ 2,545	\$ -	\$ -	\$ -	\$ 2,545
Construction in progress	374,605	151,449	(387,302)	-	138,752
Total capital assets not being depreciated	377,150	151,449	(387,302)	-	141,297
Capital assets being depreciated:					
Buildings and improvements	1,008,682	-	350,899	-	1,359,581
Fixed and movable equipment	410,336	50,840	35,733	(9,380)	487,529
Right-to-use assets - Land	7,290	-	-	-	7,290
Right-to-use assets - Buildings	62,430	10,151	-	(12,212)	60,369
Right-to-use assets - Equipment	607	6,544	-	-	7,151
Right-to-use assets - SBITA	2,291	109	-	-	2,400
Total capital assets being depreciated	1,491,636	67,644	386,632	(21,592)	1,924,320
Accumulated depreciation and amortization:					
Buildings and improvements	393,531	31,420	-	-	424,951
Fixed and movable equipment	339,536	40,593	(12)	(9,310)	370,807
Right-to-use assets - Land	2,896	408	-	-	3,304
Right-to-use assets - Buildings	30,817	5,832	-	(17,853)	18,796
Right-to-use assets - Equipment	372	456	-	-	828
Right-to-use assets - SBITA	670	688	-	-	1,358
Total accumulated depreciation and amortization	767,822	79,397	(12)	(27,163)	820,044
Net capital assets	\$ 1,100,964	\$ 139,696	\$ (658)	\$ 5,571	\$ 1,245,573

Transfers in the above table include assets transferred between UCHA and other entities within the Health System.

Note 9 - Contractual Arrangements and Concentrations of Credit Risk

UCHA provides care to patients covered by various third-party payors, such as Medicare, Medicaid, private insurance companies, and health maintenance organizations. Significant concentrations of patient accounts receivable include the following at June 30:

	2024	2023
Medicare	25 %	27 %
Medicaid	17	16
Managed care	37	39
Commercial	2	2
Self-pay and medically indigent	13	12
Other	6	4

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 9 - Contractual Arrangements and Concentrations of Credit Risk (Continued)

Management does not believe there are significant credit risks associated with the above payors, other than the self-pay and medically indigent category. Further, management continually monitors and adjusts reserves and allowances associated with these receivables. Patient accounts receivable is reported net of allowances for doubtful accounts, contractual adjustments, and medically indigent allowances.

Note 10 - Long-term Debt, Leases, and SBITA Liabilities

Long-term debt activity for the years ended June 30, 2024 and 2023 can be summarized as follows:

	2024				Due within One Year
	Beginning Balance	Additions	Reductions	Ending Balance	
Direct borrowings and direct placements:					
Series 2012C	\$ 87,510	\$ -	\$ -	\$ 87,510	\$ -
Series 2015D	196,375	-	(450)	195,925	475
Series 2017A	152,075	-	-	152,075	-
Series 2019B	50,000	-	-	50,000	-
Series 2019D	50,000	-	-	50,000	-
Series 2022A	115,283	-	(12,883)	102,400	15,565
Series 2022B	115,282	-	(12,882)	102,400	15,565
Total direct borrowings and direct placements	766,525	-	(26,215)	740,310	31,605
Other bonds:					
Series 2017B-1	57,685	-	-	57,685	-
Series 2017B-2	16,155	-	(7,900)	8,255	8,255
Series 2018A	45,915	-	-	45,915	-
Series 2018B	76,170	-	-	76,170	-
Series 2018C	75,265	-	-	75,265	-
Series 2019A	100,000	-	-	100,000	-
Series 2019C	122,785	-	-	122,785	-
Series 2019C issuance premium	5,254	-	(3,965)	1,289	-
Total other bonds	499,229	-	(11,865)	487,364	8,255
Other debt:					
Lease liabilities	50,649	8,694	(9,122)	50,221	4,428
SBITA liabilities	783	721	(879)	625	240
Total	\$ 1,317,186	\$ 9,415	\$ (48,081)	\$ 1,278,520	\$ 44,528

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 10 - Long-term Debt, Leases, and SBITA Liabilities (Continued)

	2023				
	Beginning Balance	Additions	Reductions	Ending Balance	Due within One Year
Direct borrowings and direct placements:					
Series 2012C	\$ 87,510	\$ -	\$ -	\$ 87,510	\$ -
Series 2015D	196,915	-	(540)	196,375	450
Series 2017A	152,075	-	-	152,075	-
Series 2019B	50,000	-	-	50,000	-
Series 2019D	50,000	-	-	50,000	-
Series 2022A	-	115,283	-	115,283	12,883
Series 2022B	-	115,282	-	115,282	12,882
Total direct borrowings and direct placements	536,500	230,565	(540)	766,525	26,215
Other bonds:					
Series 2012A	245,454	-	(245,454)	-	-
Series 2017B-1	57,685	-	-	57,685	-
Series 2017B-2	23,730	-	(7,575)	16,155	7,900
Series 2018A	45,915	-	-	45,915	-
Series 2018B	76,170	-	-	76,170	-
Series 2018C	75,265	-	-	75,265	-
Series 2019A	100,000	-	-	100,000	-
Series 2019C	122,785	-	-	122,785	-
Series 2019C issuance premium	9,220	-	(3,966)	5,254	-
Total other bonds	756,224	-	(256,995)	499,229	7,900
Other debt:					
Lease liabilities	40,740	16,694	(6,785)	50,649	3,009
SBITA liabilities	1,395	135	(747)	783	746
Total	\$ 1,334,859	\$ 247,394	\$ (265,067)	\$ 1,317,186	\$ 37,870

Annual debt service requirements to maturity for direct borrowings and direct placement bonds are as follows:

Years Ending June 30	Direct Borrowing and Direct Placements		Other Bonds		Total
	Principal	Interest	Principal	Interest	
2025	\$ 31,605	\$ 10,880	\$ 8,255	\$ 9,649	\$ 60,389
2026	40,765	10,291	-	7,880	58,936
2027	41,500	9,640	-	7,880	59,020
2028	29,320	9,105	12,870	7,730	59,025
2029	27,335	8,662	15,495	7,459	58,951
2030-2034	57,780	39,234	76,695	32,744	206,453
2035-2039	81,190	35,561	120,425	23,340	260,516
2040-2044	176,110	25,932	53,655	12,914	268,611
2045-2049	254,705	8,632	111,675	9,430	384,442
2050-2054	-	-	87,005	382	87,387
Total	\$ 740,310	\$ 157,937	\$ 486,075	\$ 119,408	\$ 1,503,730

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 10 - Long-term Debt, Leases, and SBITA Liabilities (Continued)

UCHA leases certain assets from various third parties. The assets leased include land, buildings, and equipment. Payments are generally fixed monthly. UCHA also leases certain assets that are subsequently subleased by UCHA to a third party. The noncancelable terms of these leasing agreements mature between 2024 and 2038. The discount rates applicable to these leasing arrangements range from 1.29 percent to 3.86 percent.

Future principal and interest payment requirements related to UCHA's lease liabilities at June 30, 2024 are as follows:

Years Ending June 30	Principal	Interest	Total
2025	\$ 4,428	\$ 1,273	\$ 5,701
2026	7,031	1,096	8,127
2027	6,753	916	7,669
2028	6,488	736	7,224
2029	6,611	553	7,164
2030-2034	16,195	1,044	17,239
2035-2039	2,715	77	2,792
Total	<u>\$ 50,221</u>	<u>\$ 5,695</u>	<u>\$ 55,916</u>

UCHA obtains the right to use vendors' information technology software through various long-term contracts. Payments are generally fixed monthly, quarterly, or annually. Subscription asset activity of UCHA is included in Note 8.

Future principal and interest payment requirements related to UCHA's SBITA liabilities at June 30, 2024 are as follows:

Years Ending June 30	Principal	Interest	Total
2025	\$ 240	\$ 13	\$ 253
2026	207	7	214
2027	178	2	180
Total	<u>\$ 625</u>	<u>\$ 22</u>	<u>\$ 647</u>

In August 2024, UCHA issued Series 2024A and Series 2024B Revenue and Revenue Refunding Bonds, in the amount of \$262,300 to refinance the Series 2019C bonds and to finance various capital projects. The Series 2024A and Series 2024B bonds are fixed-rate issuances, with interest paid semiannually and principal paid according to a mandatory sinking fund redemption schedule beginning in fiscal year 2025 through maturity in fiscal year 2040.

In August 2024, UCHealth purchased buildings that were previously leased from a single third party. The purchase relieved UCHA lease liabilities of \$13,170.

In March 2021, UCHA issued forward-starting 2022A (Series 2022A) and 2022B (Series 2022B) direct purchase bonds in the amount of \$230,565, to refinance the 2012A bonds effective November 2022. Series 2022A and Series 2022B are fixed-rate issuances, with interest paid semiannually and principal paid according to a mandatory sinking fund redemption schedule beginning in fiscal year 2024. The interest rate for the Series 2022A and Series 2022B bonds is 1.58 percent. The Series 2022A and Series 2022B bonds have a maturity date of November 2030.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 10 - Long-term Debt, Leases, and SBITA Liabilities (Continued)

In October 2019, UCHA issued Series 2019A Revenue Bonds (Series 2019A) in the amount of \$100,000 to finance the construction of Highlands Ranch Hospital. Series 2019A was issued as variable-rate bonds, with interest paid monthly and principal paid according to a mandatory sinking fund redemption schedule through fiscal year 2050. The bonds, while subject to long-term amortization periods, may be put at the option of the bondholders in connection with weekly remarketing dates. To the extent the bondholders may, under the terms of the debt, put their bonds within 12 months after June 30, 2024 and 2023, the principal amount of such bonds has been classified as a current liability in the accompanying statement of net position. However, to address this possibility, management has taken steps to provide various sources of liquidity in the event any bonds would be put, including maintaining unrestricted assets as a source of self-liquidity.

In October 2019, UCHA issued Series 2019B Revenue Bonds (Series 2019B) in the amount of \$50,000 to finance the construction of Greeley Hospital. Series 2019B was issued as fixed-rate bonds, with interest paid semiannually and principal paid according to a mandatory sinking fund redemption schedule through fiscal year 2049. Wells Fargo Bank, N.A. is the holder of the bonds at a fixed interest rate of 1.67 percent. The direct purchase bonds were issued with a 10-year term that will expire in October 2029.

In October 2019, UCHA issued Series 2019C Revenue Bonds (Series 2019C) in the amount of \$122,785 to fully refinance the Series 2017C-1 Bonds. Series 2019C was issued as 5-year put bonds at a premium. Series 2019C was refunded in August 2024 in conjunction with the issuance of the Series 2024A and Series 2024B bonds discussed above. Prior to refunding, interest was paid semiannually and principal paid according to a mandatory sinking fund redemption schedule through fiscal year 2048.

In October 2019, UCHA issued Series 2019D Revenue Bonds (Series 2019D) in the amount of \$50,000 to finance the construction of Greeley Hospital. Series 2019D was issued as fixed-rate bonds, with interest paid semiannually and principal paid according to a mandatory sinking fund redemption schedule through fiscal year 2049. JPMorgan Chase Bank, N.A. is the holder of the bonds at a fixed interest rate of 1.67 percent. The direct purchase bonds were issued with a 10-year term that will expire in October 2029.

In July 2018, UCHA issued Series 2018A Revenue Bonds (Series 2018A) in the amount of \$45,915 to fully refund PVHS Series 2005A bonds. Series 2018A was issued as variable-rate bonds, with interest paid monthly and principal paid according to a mandatory sinking fund redemption schedule through fiscal year 2031. The bonds, while subject to long-term amortization periods, may be put at the option of the bondholders in connection with weekly remarketing dates. To the extent the bondholders may, under the terms of the debt, put their bonds within 12 months after June 30, 2024 and 2023, the principal amount of such bonds has been classified as a current liability in the accompanying statement of net position. However, to address this possibility, management has taken steps to provide various sources of liquidity in the event any bonds would be put, including maintaining unrestricted assets as a source of self-liquidity.

In July 2018, UCHA issued Series 2018B Revenue Bonds (Series 2018B) in the amount of \$76,170 to fully refund PVHS Series 2005B and Series 2005C bonds. Series 2018B was issued as variable-rate bonds that bear interest as determined by the remarketing Agent each week, and principal is paid according to a mandatory sinking fund redemption schedule through fiscal year 2036. UCHA has a Standby Bond Purchase Agreement with TD Bank to provide liquidity support for Series 2018B. The Standby Bond Purchase Agreement expires on February 8, 2028 unless extended by the bank.

In July 2018, UCHA issued Series 2018C Revenue Bonds (Series 2018C) in the amount of \$75,265 to fully refund PVHS Series 2005B and Series 2005C bonds. Series 2018C was issued as variable-rate bonds that bear interest as determined by the remarketing Agent each week, and principal is paid according to a mandatory sinking fund redemption schedule through fiscal year 2040. UCHA has a Standby Bond Purchase Agreement with TD Bank to provide liquidity support for Series 2018C. The Standby Bond Purchase Agreement expires on February 8, 2028 unless extended by the bank.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 10 - Long-term Debt, Leases, and SBITA Liabilities (Continued)

In February 2017, UCHA issued Series 2017A Revenue Bonds (Series 2017A) in the amount of \$152,075 to fully refund UCHA Series 2015A Revenue Bonds. Series 2017A was issued as fixed-rate bonds at a rate of 4.625 percent, with interest paid semiannually and principal paid according to a mandatory sinking fund redemption schedule through fiscal year 2047. Concurrently, UCHA entered into a total return, fixed-to-floating swap agreement having a notional amount of \$152,075. Under the terms of the swap agreement, UCHA receives an amount equal to the coupon of the bonds (4.625 percent) and makes payments based on the Securities Industry and Financial Markets Association Index plus 40 basis points. UCHA settles with the counterparty semiannually, each May and November. The swap agreement expires in March 2027. Within the accompanying statement of net position, receivables from affiliates include a balance for a portion of amounts associated with Series 2017A.

In February 2017, UCHA issued Series 2017B-1 and Series 2017B-2 Revenue Bonds (Series 2017B) in the amounts of \$57,685 and \$57,125, respectively, to fully refund UCHA Series 2015B and 2015C Revenue Bonds. Series 2017B was issued as variable-rate bonds, with interest paid monthly and principal paid according to a mandatory sinking fund redemption schedule through fiscal year 2040 (Series 2017B-1) and fiscal year 2025 (Series 2017B-2). The bonds, while subject to long-term amortization periods, may be put at the option of the bondholders in connection with weekly remarketing dates. To the extent the bondholders may, under the terms of the debt, put their bonds within 12 months after June 30, 2024 and 2023, the principal amount of such bonds has been classified as a current liability in the accompanying statement of net position. However, to address this possibility, management has taken steps to provide various sources of liquidity in the event any bonds would be put, including maintaining unrestricted assets as a source of self-liquidity. Within the accompanying statement of net position, receivables from affiliates include a balance for a portion of amounts associated with Series 2017B.

In September 2015, UCHA issued Series 2015D Revenue Bonds (Series 2015D) in the amount of \$200,180 to fully refund UCHA Series 2011A Revenue Bonds. Series 2015D was issued as variable-rate bonds, with interest paid monthly and principal paid according to a mandatory sinking fund redemption schedule through fiscal year 2042. In April 2020, the terms of the bonds were updated to a fixed-rate mode of 1.48 percent, with interest paid semiannually. UCHA also extended the original direct purchase agreement with Wells Fargo Bank, N.A. on Series 2015D, which will expire in April 2027.

In October 2012, UCHA issued Series 2012A Revenue Bonds (Series 2012A) to partially finance the Integration and Affiliation Agreement and Health System Operating Lease Agreement with the City of Colorado Springs, Colorado to lease Memorial Health System. Series 2012A was issued in the amount of \$272,090 as a fixed-rate issuance, with interest paid semiannually and principal paid according to a mandatory sinking fund redemption schedule beginning in fiscal year 2015. Series 2012A was issued with an original issue premium of \$21,975 and an original issue discount of \$910. The average interest rate for Series 2012A was 4.26 percent. Original maturity of Series 2012A was in 2043. The Series 2012A bonds had an optional redemption date of November 2022, at which time UCHA issued the 2022A and 2022B bonds to refinance and fully defease the 2012A bonds. As part of the defeasance, the difference between the reacquisition price and the net carrying amount of the old debt, including unamortized premium and discount, was recognized as a deferred outflow of resources on the statement of net position.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 10 - Long-term Debt, Leases, and SBITA Liabilities (Continued)

In October 2012, UCHA issued Series 2012C Revenue Bonds (Series 2012C) in the amount of \$87,510 to fully refund PVHS Series 2005D and 2005E Revenue Bonds. Series 2012C was issued as variable-rate bonds, with interest paid monthly and principal paid according to a mandatory sinking fund redemption schedule through fiscal year 2046. In April 2020, the terms of the bonds were updated to a fixed-rate mode of 1.35 percent, with interest paid semiannually. UCHA also extended the original direct purchase agreement with Wells Fargo Bank, N.A. on Series 2012C, which will expire in April 2025; because the purchase agreement expires in fiscal year 2025, the entirety of the Series 2012C bonds is recorded within the current portion of long-term debt on the statement of net position. Within the accompanying statement of net position, receivables from affiliates include a balance for a portion of amounts associated with Series 2012C.

All bonds are secured by a security interest with respect to all gross revenue of the Health System. The UCHA 1997A Master Indenture, as supplemented, requires the Health System to maintain certain financial ratios. Under the UCHA 1997A Master Indenture and various bond agreements, events of default include failure to pay interest or principal payments, declaration of bankruptcy and failure to comply with financial and nonfinancial covenants. Key covenants include the maintenance of tax-exemption status within the obligated group, keeping property free of liens, maintaining proper and accurate accounting records, complying with disclosure reporting requirements, and meeting financial ratio requirements.

Cash paid for interest was \$34,246 and \$33,631 for the years ended June 30, 2024 and 2023, respectively.

The fair value of UCHA's long-term debt is based on the most recent trading price as of June 30, 2024 and 2023. The fair value of the revenue bonds at June 30, 2024 and 2023 was \$1,226,385 and \$1,261,317, respectively.

Note 11 - Self-insurance Trust

UCD sponsors a self-insurance trust, the University of Colorado Self-Insurance and Risk Management Trust (the "Trust"), in which UCHA participates. The Trust was authorized by a resolution of the Regents dated June 23, 1985 and may be amended, altered, or revoked by UCD, but only if such amendment, alteration, or revocation is consistent with and in furtherance of the purpose of the Trust. The participants in the Trust are the University of Colorado (the "University"), including UCD and its agencies, administrators, faculty, and employees and other affiliates of the University, including UCHA. As UCHA has transferred risk associated with this insurance into the public-entity risk pool of the Trust, the assets and liabilities of the Trust are not included in the accompanying basic financial statements.

The Trust provides coverage to its participants up to statutory limitations relating to malpractice claim immunity for government entities. The coverage is \$424 per claimant and \$1,195 per occurrence for claims arising from activities of covered persons and entities within the state of Colorado. The Trust also provides coverage of \$500 per claimant and \$1,500 per occurrence for claims arising outside the state of Colorado. The Trust contracts with a commercial insurance company to provide \$15,000 per occurrence or aggregate per year for claims in which the limits of governmental immunity do not apply.

As of June 30, 2024, the Trust had a fund balance of \$4,052, which is net of \$10,859 in reserves for losses and loss adjustment expenses. At June 30, 2024, plan assets exceed the actuarially determined liability. For 2024 and 2023, UCHA recorded premium and administrative expenses of \$1,709 and \$821, respectively. There were no refunds received during 2024 or 2023.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 12 - Health Benefits Trust

From July 1, 2020 through December 31, 2023, UCHA administered its employee health coverage through the Health Trust of the University of Colorado Hospital Authority (the "Health Trust"). The Health Trust is a self-insurance trust set up for the benefit of eligible employees of the Health System and their eligible dependents. Contributions to the Health Trust were \$190,683 and \$369,728 during the years ended June 30, 2024 and 2023, respectively. UCHA recognized reserves for health claims incurred but not yet paid of \$8,633 and \$6,669 at June 30, 2024 and 2023, respectively. Reserves for claims incurred but not yet paid are estimated based upon historical claims experience and actuarial development factors. Actual results could differ from those estimates.

Note 13 - Retirement Plans

UCHealth offers five retirement plans: the University of Colorado Hospital Authority Retirement Plan (the "Basic Pension Plan"), the University of Colorado Hospital Authority Fixed Contribution Investment Plan (the "Investment Account"), the University of Colorado Hospital Authority Matching Tax Deferred Annuity Plan (the "Matching Account"), the University of Colorado Hospital Deferred Compensation Savings Plan (the "457b Plan"), and the UCHealth 403(b) Plan (the "403(b) Plan"). The UCHA Board is the fiduciary of the Basic Pension Plan and has the ability to amend this plan at its sole discretion.

The Investment Account, the Matching Account, the 457b Plan, and the 403(b) Plan are administered by independent companies that have entered into trust agreements with UCHA. The UCHA Board has the authority to establish and amend the benefit provisions of the Investment Account, the Matching Account, and the 457b Plan. The UCHealth Board has the authority to establish and amend the benefit provisions of the 403(b) Plan.

Pension Plan

UCHA participates in a pension plan that covers substantially all of its employees, the Basic Pension Plan. The Basic Pension Plan is a single-employer, noncontributory defined benefit plan. Eligibility to receive benefits under this plan for UCHA employees starts on the date of hire. Those employees who were employed by UCHA prior to October 1, 1989 who elect to become UCHA employees are eligible to participate. MHS employees active as of October 1, 2012 and PVHS employees active as of January 4, 2013 or hired thereafter are eligible for participation in the Basic Pension Plan on that date. Effective September 1, 2012, participants are vested in their accrued benefit at 20 percent per every 12 months of service until they are 100 percent vested after 5 years. This is a change from the prior vesting schedule for UCHA employees, which required 5 years of service to become 100 percent vested. The Basic Pension Plan was closed to new entrants effective December 24, 2023.

The annual accrued benefits, paid monthly, of the Basic Pension Plan are calculated at 1.5 percent times the average annual compensation times years of service (based on hire date). The five most highly compensated calendar years of service after March 26, 1995 are used to calculate the average annual compensation. A small number of UCHA employees is eligible to receive additional benefits based on a combined age and years of credited service equal to or greater than 75 on January 1, 2013 (Rule of 75). The Basic Pension Plan offers reduced benefits for early retirement and adjusted benefits for late retirement (after age 65). Most plan participants, except those falling under the Rule of 75, will receive a monthly benefit with no annual cost of living adjustment factor, which is an amendment to the plan effective for accruals on or after January 1, 2013. The Basic Pension Plan allows employees who leave with less than 10 years of service to elect a lump-sum distribution upon termination, to allow employees with over 10 years of service to elect a partial lump sum to the extent that their balance is above an \$18 per year annuity, to allow terminated participants to elect these options as well based on the same criteria for active participants, and to allow the purchase by the Basic Pension Plan of annuities for retirees periodically when rates are favorable.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 13 - Retirement Plans (Continued)

Pension plan assets consist of equity securities, fixed-income securities, real estate, alternative investments, money market funds, cash, and receivables. Although the Basic Pension Plan is a governmental plan within the meaning of Section 3(32) of the Employee Retirement Income Security Act of 1974 (ERISA) and is, therefore, exempt from the requirements of Title I of ERISA, UCHA's practice is to contribute amounts at least equal to the minimum funding requirements of ERISA.

UCHA's portion of the actuarially computed net periodic pension cost for the Basic Pension Plan for 2024 and 2023 was \$46,951 and \$46,985, respectively. Investment gains for 2024 and 2023, including interest, dividends, and realized and unrealized gains, were \$174,394 and \$117,645, respectively.

Membership in the Basic Pension Plan consisted of the following at July 1, 2023 and 2022 (dates of the latest actuarial valuations):

	2023	2022
Retirees and beneficiaries receiving benefits	2,912	2,576
Terminated plan members entitled to but not yet receiving benefits	7,143	6,407
Active plan members, includes all participants within the system	30,243	28,247
Total members	40,298	37,230

Changes in the net pension liability for the years ended June 30, 2024 and 2023 were as follows:

Changes in Net Pension Liability	Total Pension Liability	Plan Fiduciary Net Position	Net Pension Liability
Balance at July 1, 2023	\$ 1,766,304	\$ 1,564,116	\$ 202,188
Changes for the year:			
Service cost	128,739	-	128,739
Interest	127,815	-	127,815
Contributions - Employer	-	163,333	(163,333)
Net investment income	-	174,394	(174,394)
Changes in experience	30,670	-	30,670
Benefit payments	(51,723)	(51,723)	-
Administrative expenses	-	(5,375)	5,375
Net changes	235,501	280,629	(45,128)
Balance at June 30, 2024	\$ 2,001,805	\$ 1,844,745	\$ 157,060

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 13 - Retirement Plans (Continued)

Changes in Net Pension Liability	Total Pension Liability	Plan Fiduciary Net Position	Net Pension Liability
Balance at July 1, 2022	\$ 1,551,575	\$ 1,354,890	\$ 196,685
Changes for the year:			
Service cost	114,551	-	114,551
Interest	112,454	-	112,454
Contributions - Employer	-	145,200	(145,200)
Net investment income	-	117,645	(117,645)
Changes in experience	30,223	-	30,223
Changes in assumptions	6,444	-	6,444
Benefit payments	(48,943)	(48,943)	-
Administrative expenses	-	(4,676)	4,676
Net changes	214,729	209,226	5,503
Balance at June 30, 2023	<u>\$ 1,766,304</u>	<u>\$ 1,564,116</u>	<u>\$ 202,188</u>

UCHA's portion of the net pension liability as of June 30, 2024 and 2023, totaled \$102,695 and \$115,262, respectively.

The pension plan's fiduciary net position as a percentage of the total pension liability was 92.2 percent and 88.6 percent as of June 30, 2024 and 2023, respectively.

For the years ended June 30, 2024 and 2023, UCHA recognized pension expense of \$50,014 and \$46,951, respectively. At June 30, 2024 and 2023, UCHA reported deferred outflows of resources and deferred inflows of resources related to the pension from the following sources:

	2024		2023	
	Deferred Outflows of Resources	Deferred Inflows of Resources	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	\$ 14,098	\$ -	\$ 12,894	\$ -
Changes in assumptions	4,900	-	7,947	541
Net difference between projected and actual earnings on pension plan investments	-	9,938	3,003	-
Total	<u>\$ 18,998</u>	<u>\$ 9,938</u>	<u>\$ 23,844</u>	<u>\$ 541</u>

Amounts reported as deferred outflows of resources and deferred inflows of resources related to the pension will be recognized in pension expense as follows:

Years Ending June 30	Amount
2025	\$ 1,412
2026	15,059
2027	(3,360)
2028	(4,051)
Total	<u>\$ 9,060</u>

UCHA has made all required contributions to the pension plan for the year ended June 30, 2024.

Notes to Basic Financial Statements

June 30, 2024 and 2023
(Dollars in Thousands)

Note 13 - Retirement Plans (Continued)

As a governmental entity, UCHA has considerable flexibility in determining the amount to contribute to the Basic Pension Plan each year. The actuarially determined contribution calculated as part of this report is intended to provide a systematic method for prefunding the liabilities for retirement benefits payable under the Basic Pension Plan. It is calculated in a manner intended to remain relatively stable, as a percentage of valuation compensation, over time. This stability is intended to facilitate the annual budgeting process and to keep the cost of the Basic Pension Plan manageable. All employees who work at UCHealth facilities are employees of UCHA; however, UCHA allocates the cost related to the pension to other entities within UCHealth. The full contributions made for all UCHA employees were \$163,333 and \$145,200 for the years ended June 30, 2024 and 2023, respectively. UCHA's contributions, net of reimbursements from the Health System, to the Basic Pension Plan were \$42,724 and \$40,629 in 2024 and 2023, respectively. UCHA's average contribution rates were 6.34 percent and 6.39 percent of annual payroll for the years ended June 30, 2024 and 2023, respectively.

UCHA's net pension liability was measured as of June 30, 2024 and 2023, and the total pension liability used to calculate the net pension liability was determined by actuarial valuations as of July 1, 2023 and 2022, respectively. UCHA utilized update procedures to roll valuation amounts forward to the respective measurement dates using the calculated service and interest cost, actual contributions, and return on plan assets.

Additional information as of the latest actuarial valuation date follows:

Valuation date	July 1, 2023 and 2022
Actuarial cost method	Entry age normal, Level percent of pay
Amortization method	Straight line
Asset valuation method	Fair value
Actuarial assumptions:	
i) Discount rate*	6.75%
ii) Projected salary increases*	3.25% to 8.75%
iii) Cost of living adjustments**	2.25%

*Includes inflation at 2.25 percent

**Cost of living adjustments apply only to those participants who fall under Rule of 75.

Mortality rates were based on the Sex-distinct Pri-2012 Mortality Tables with base year 2012, without collar or amount adjustments, using the base mortality improvement scale MP-2019 with generational projections using a 0.75 percent long-term rate of improvement.

The actuary is required to use assumptions that represent his or her best estimate of future experience under the Basic Pension Plan and are reasonably related to the experience of the Plan. The actuary will monitor the actuarial experience under the Plan in future years in order to judge the continuing appropriateness of these assumptions. The actuarial assumptions used in the valuations were based on the results of an actuarial experience study for the period from July 1, 2018 through July 1, 2022.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 13 - Retirement Plans (Continued)

The long-term rate of return on pension plan investments was determined using a variety of industry accepted practices to determine 10-year estimated ranges of future expected returns for major asset classes. For public equities, a building block approach incorporating inflation, real earnings growth, dividend yield, and repricing was used. For fixed income, current yields and credit spreads were used. For the various alternative asset classes, a combination of historical risk premiums, illiquidity premiums and style-specific premiums were used. The arithmetic average forecast returns for each asset class are combined at target asset allocation weights to provide a forecasted geometric (50th percentile) expected return for the plan and are shown below at July 1, 2023 and 2022. All figures shown are nominal (i.e., inclusive of inflation):

Asset Class	2024		2023	
	Target Allocation	Arithmetic Expected Return (10-year Average)	Target Allocation	Arithmetic Expected Return (10-year Average)
Domestic equity	28 %	7.2 %	28 %	7.6 %
International equity	22	10.0	22	10.7
Fixed income	30	5.6	30	5.2
Real estate	10	7.5	10	6.5
Alternative	10	9.7	10	13.0

The following presents the net pension liability (asset) of the entire Health System, calculated using the discount rate of 6.75 percent, as well as what the Health System's net pension liability (asset) would be if it were calculated using a discount rate that is 1 percentage point lower (5.75) or 1 percentage point higher (7.75) than the current rate:

	1 Percentage Point Decrease (5.75%)	Current Discount Rate (6.75%)	1 Percentage Point Increase (7.75%)
June 30, 2024	\$ 457,306	\$ 157,060	\$ (88,101)
June 30, 2023	467,849	202,188	(14,657)

Investment Account

The Investment Account is a qualified, single-employer defined contribution retirement plan under the provisions of Code Section 401(a). Employees are required to contribute 6.2 percent of their gross compensation (limited to the OASDI wage base), which is equivalent to what their OASDI contributions would be under FICA participation. Employees are always fully vested in this component of the plan. Total employee contributions made under the provisions of this plan were \$34,139 and \$34,359 for the years ended June 30, 2024 and 2023, respectively. This represents 5.31 percent of the current year's payroll. In accordance with code regulations, UCHA is required to provide an additional make-up contribution for certain part-time employees equal to 1.3 percent of their compensation until they are fully vested in the Basic Pension Plan. Makeup contributions made by UCHA were \$1,030 and \$269 in 2024 and 2023, respectively.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 13 - Retirement Plans (Continued)

Matching Account

The Matching Account is a single-employer, tax-deferred annuity plan under the provisions of Code Section 403(b). Employees are eligible to contribute a percentage of their gross compensation, either on a tax-deferred or post-tax basis, up to legal limitations established under the Code. In addition, UCHA will match employee contributions 100 percent on the first 3 percent of gross compensation contributed. Employees are always vested 100 percent in their contributions; however, UCHA's matching contributions are subject to a five-year, graduated vesting schedule. Certain part-time employees are not eligible for UCHA matching contributions. UCHA's matching contributions for 2024 and 2023 were \$11,199 and \$10,703, respectively. Employee contributions to the Matching Account for 2024 and 2023 were \$28,461 and \$27,758, respectively.

457b Plan

The 457b Plan is a single-employer plan under the provisions of Code Section 457, in which employees are eligible to contribute a percentage of their gross compensation, either on a tax-deferred or post-tax basis, up to legal limitations established under the Code. Employees are always vested 100 percent in their contributions, and UCHA does not contribute to this plan. Employees may elect from a broad array of mutual funds with their respective investment companies. Employee contributions to the 457b Plan for 2024 and 2023 were \$3,493 and \$2,962, respectively.

The Investment Account, the Matching Account, and the 457b Plan are administered by independent companies that have entered into trust agreements with UCHA. The investment companies hold all funds contributed under these plans.

403(b) Plan

Effective December 24, 2023, UCHealth closed the Basic Pension Plan and the Matching Account to new entrants. Also effective on that date, UCHealth began offering the new 403(b) Plan for all employees hired on December 24, 2023 and thereafter.

The 403(b) Plan is a single-employer annuity plan under the provisions of Code Section 403(b). Employees are eligible to contribute a percentage of their gross compensation, either on a tax-deferred or post-tax basis, up to legal limitations established under the Code. In addition, UCHA will match employee contributions 100 percent up to the first 4 percent of gross compensation contributed. Employees are always vested in their contributions; however, UCHA's matching contributions are subject to a five-year graduated vesting schedule. Certain part-time employees are not eligible for UCHA matching contributions. UCHA matching contributions for 2024 were \$330. Employee contributions to the 403(b) plan for 2024 were \$631.

Other Postemployment Benefit Plan

In addition to the retirement plans mentioned above, UCHA provides a postretirement medical premium subsidy to employees retiring from UCHA who are covered under the PERA benefit guarantee provision of the State of Colorado legislation creating UCHA. This plan provides a medical premium subsidy of up to \$0.112 per month for medical plan coverage (prorated for less than 20 years of service) and an employer-funded life insurance benefit of \$3. An employer-funded life insurance benefit is provided to all employees who retire from UCHA. The accumulated postretirement benefit obligation for the medical and life premiums was \$1,715 and \$1,950 at June 30, 2024 and 2023, respectively. Total benefit costs related to this plan were \$(99) and \$(96) for the years ended June 30, 2024 and 2023, respectively. In the calculation of the liability, an assumption that 65 percent of eligible active employees would elect to be covered by the medical premium subsidy plan was used. The discount rate used to measure the liability was 3.93 percent and 3.65 percent at June 30, 2024 and 2023, respectively.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 14 - Related Party/Affiliate Transactions

UCHA is affiliated with the Health System: the State of Colorado; TriWest Healthcare Alliance Corp. (TriWest); University of Colorado Medicine, Inc. (CU Medicine); the Foundation; Colorado Access; and the University, consisting of UCD, the Trust, and the Adult Clinical Research Center (CRC).

University of Colorado Health

Effective July 1, 2012, UCHealth was created through a joint operating agreement with PVHS and UCHA. Together, UCHA and PVHS are member organizations in the Health System. UCHealth received its 501(c)(3) designation from the IRS on June 29, 2013. The joint venture enhances the capacity of the members to protect, sustain, and expand their respective missions.

The initial term of the joint operating agreement is 50 years, with renewals or extensions anticipated. The agreement includes significant hurdles for termination other than by mutual agreement. Under the joint operating agreement, the members of the joint venture are members of the obligated group under UCHA's master trust indenture and, thereby, pledge their gross revenue to secure each member's obligations.

UCHealth entities pool their respective revenue and expenses for a single bottom line. The UCHealth board of directors approves the operating and capital budgets of each entity throughout the Health System. Entity-specific boards remain to oversee medical staff and credentialing, quality, joint commission, and oversight of other day-to-day operating activities.

UCHA's statement of net position; statement of revenue, expenses, and changes in net position; and statement of cash flows include transactions among UCHealth's members and affiliates.

Total current assets at June 30, 2024 and 2023 include a receivable from affiliates that is composed of amounts due from UCH-MHS for the Series 2022A and Series 2022B proceeds related to the acquisition of MHS of \$31,130 and \$25,765, respectively, and amounts due for the Series 2017B-2 proceeds related to the refinancing of PVHS Revenue Bonds of \$8,255 and \$7,900, respectively. At June 30, 2024 and 2023, current assets also included \$917,110 and \$948,805, respectively, related to transactions between UCHA and its affiliates.

Total noncurrent assets at June 30, 2024 and 2023 include receivables from affiliates that comprise amounts due for the Series 2012C, Series 2017A, Series 2017B, Series 2017C, 2022A, and 2022B bond issuances related to ongoing capital expenditures, the acquisition of MHS, and the refinancing of PVHS Revenue Bonds. At June 30, 2024 and 2023, the total receivable was \$879,222 and \$925,199, respectively.

UCHA and affiliates effectively pool their investments within the Health System's investment account structure. UCHA's share of pooled cash at June 30, 2024 and 2023 was \$238,335 and \$98,711, respectively. UCHA's share of pooled investments at June 30, 2024 and 2023 was \$3,417,053 and \$2,961,068, respectively.

UCD

UCD and UCHA have developed an institutional master plan (the "Master Plan") to create a new academic health sciences center over the next 20 to 50 years on the Anschutz Medical Campus. The Master Plan has been approved by the Regents, UCHA, and the Colorado Commission on Higher Education. The Regents and UCHA entered into a ground lease in 1998 for 18.4 acres of the property acquired by the Regents pursuant to the quitclaim conveyance from the United States Department of Education. Subsequent agreements have been executed between these parties to provide additional land to UCHA, which has been used to continue development of the Anschutz Medical Campus. As a result, UCHA has expanded its facilities with an office tower, parking garages, inpatient towers, and additional staff and patient parking structures.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 14 - Related Party/Affiliate Transactions (Continued)

Consistent with the joint planning process reflected in the Master Plan, the Regents and UCHA have agreed in the Fitzsimons ground lease that additional agreements will be necessary for development of the Anschutz Medical Campus. The Regents, Children's Hospital Colorado, and UCHA entered into the Amended and Restated Infrastructure Development and Maintenance Agreement effective July 1, 2004, which sets forth how the three parties will plan and construct infrastructure, share the cost of such planning and construction, and share in the related maintenance expenses of the infrastructure.

Under the operating agreement between the Regents of the University and UCHA dated July 1, 1991, the Regents have entered into contracts with UCHA for the provision of services in support of programs and operations of UCHA, including providing personnel, physical plant maintenance, and other general and administrative services. UCHA paid \$75,373 and \$73,085 for these services, which is recorded in purchased services and other expenses in 2024 and 2023, respectively.

UCHA has also entered into contracts with the Regents for the provision of services to UCD, including clinic services, research projects, infrastructure expense, and other items. Reimbursements for these services of \$1,419 and \$1,144 were recognized in other operating revenue during 2024 and 2023, respectively.

UCHA leases certain employees to CRC at full cost and also provides overhead and ancillary services to CRC. Charges of \$1,318 and \$1,075 were billed to CRC for the cost of these services during 2024 and 2023, respectively, and were recognized in other operating revenue. Amounts due from UCD, including CRC, were \$1,597 and \$979 at June 30, 2024 and 2023, respectively, and are included in related party receivables on the statement of net position. UCHA recorded amounts due to UCD of \$2,998 and \$2,162 at June 30, 2024 and 2023, respectively, for contract labor costs and School of Pharmacy support expenses.

Effective July 1, 2014, UCHealth entered into a five-year academic support agreement with the University of Colorado School of Medicine, which was subsequently amended to extend it with rolling three-year terms requiring written notice of nonrenewal no later than June 30 of each year if UCHealth is not going to renew 24 months from the date of the notice. The agreement provides that UCHealth make annual academic support donations to enhance the ability of the School of Medicine to fulfill its academic missions of educating students in health-related disciplines and professions and furthering basic and applied biomedical research. UCHA's portion of the academic support donation for the years ended June 30, 2024 and 2023 was \$11,838 and \$6,990, respectively. In November 2018, the Regents and UCHealth entered into a second amendment to the Multiyear academic support agreement, which provides an additional, nonterminable (absent mutual consent) academic missions support donation to the University of Colorado Foundation for the benefit of the School of Medicine for funding, as expenses are actually incurred in future years, plus additional amounts based on a formula set forth in the second amendment. UCHA's portion of total payments to the University of Colorado Foundation for the benefit of the School of Medicine was \$15,698 and \$14,322 for the years ended June 30, 2024 and 2023, respectively.

TriWest

TriWest was formed to deliver health care services to eligible beneficiaries of TriCare within certain specified geographic regions. UCHA originally purchased a minority interest in TriWest for \$3,300. In October 2007, UCHA sold 1,656.55 shares for \$18,053 to TriWest. After the sale, CU Medicine had a 60 percent share of UCHA's minority interest in TriWest. In March 2014, TriWest restructured its ownership, resulting in UCHA and CU Medicine selling their stock back to TriWest and receiving new stock valued at \$9,250. UCHA made contributions of \$2,413 to TriWest during the year ended June 30, 2024. UCHA's investment is accounted for under the cost method and is valued at \$8,413 and \$6,000 at June 30, 2024 and 2023, respectively.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 14 - Related Party/Affiliate Transactions (Continued)

CU Medicine

During the years ended June 30, 2024 and 2023, UCHA recognized \$191,173 and \$176,540, respectively, in contract expense to CU Medicine for contractual reimbursement of faculty administrative services and recruitment support. UCHA also recognized expenses of \$93,487 and \$33,027 during the years ended June 30, 2024 and 2023, respectively, that represent reimbursements channeled through UCHA by external entities for services provided by CU Medicine on behalf of those external entities (e.g., Ryan White program) and for reimbursements for hospital-based programs for services provided by CU Medicine on behalf of UCHA (e.g., on-call services, joint networking, administrative, and other miscellaneous programs).

UCHA recorded net payables to CU Medicine of \$9,121 and \$15,858 at June 30, 2024 and 2023, respectively, for various contract labor and provider support expenses.

UCHA has entered into a joint operating agreement with CU Medicine to establish an imaging center located in Denver, Colorado. The imaging center provides 3T MRI imaging services to UCHA's patients and is operated on the terms set forth in the agreement. Capital contributions and division of revenue and expenses will be split between the two organizations, as defined within the agreement.

Children's Hospital Colorado

In July 2010, UCHA began a joint maternal fetal program in conjunction with Children's Hospital Colorado (CHCO) to establish a center for advanced maternal fetal medicine offering state-of-the-art care for high-risk pregnant women and their babies.

The program is defined in an operating agreement that details the cost and revenue sharing between the two hospitals. UCHA has recorded a related party payable to CHCO at June 30, 2024 and 2023 of \$42,044 and \$40,390, respectively.

Other Related Parties

UCHA and two other entities participate as members in Colorado Access, a Colorado not-for-profit corporation that owns and operates a statewide health maintenance organization that serves Medicaid patients. There are no earnings distribution agreements between Colorado Access and UCHA. Requests for financial information for Colorado Access should be addressed to Colorado Access, President and CEO, 11100 East Bethany Drive, Aurora, CO 80014.

Note 15 - Commitments and Contingencies

A substantial portion of UCHA's revenue is received under contractual arrangements with Medicare, Medicaid, and the military and other governmental programs. Payments from these payors are based on a combination of prospectively determined rates and retrospectively settled cost reimbursement. Final settlement of the amounts due to UCHA or payable to the payors is subject to the laws and regulations governing these programs and postpayment audits that may result in further adjustments by the payors. Additionally, these payments are subject to other routine postpayment reviews, audits, and investigations that may result in refunds, repayments, or other financial settlements. Specific accruals related to such contractual arrangements are included in the basic financial statements.

In January 2022, UCHHealth received a civil investigative demand from the United States Department of Justice pursuant to its authority under the False Claims Act seeking information regarding how a number of UCHHealth hospitals billed for certain E/M codes arising out of emergency department visits. The Department of Justice issued a second civil investigative demand in July 2023 regarding the same subject matter. UCHHealth is in discussions with the Department of Justice in an attempt to reach a resolution. UCHA has reserved what it believes to be sufficient amounts to resolve the matter.

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 15 - Commitments and Contingencies (Continued)

UCHA is involved in various legal actions occurring in the normal course of activities. While the final outcomes cannot be determined at this time, management is of the opinion that the resolution of these legal actions will not have a material effect on the financial position of UCHA.

UCHA has entered into contracts for significant new construction and expansion projects it is currently undertaking. At June 30, 2024, UCHA has committed contract expenditures for these significant projects of \$12,597.

Note 16 - Deferred Outflows and Inflows of Resources

As of June 30, 2024 and 2023, the components of deferred outflows and inflows of resources are as follows:

	2024		2023	
	Deferred Outflows	Deferred Inflows	Deferred Outflows	Deferred Inflows
Deferred amortization on refundings	\$ 11,383	\$ 7,567	\$ 12,333	\$ 10,342
Deferred amortization related to pension plan	18,998	9,938	23,844	541
Deferred inflows on leases	-	1,314	-	1,349
Total	<u>\$ 30,381</u>	<u>\$ 18,819</u>	<u>\$ 36,177</u>	<u>\$ 12,232</u>

Note 17 - Accounting Changes

As discussed in Note 2, UCHA adopted the provisions of GASB Statement No. 101, *Compensated Absences*, as of July 1, 2022. The impact of the adoption on the previously reported amounts in the statement of net position are shown in the tables below.

The following is a summary of the changes to the amounts previously reported as of June 30, 2022:

	June 30, 2022, as Previously Reported	GASB 101 Adoption	July 1, 2022, as Restated
Current assets	\$ 1,602,510	\$ -	\$ 1,602,510
Noncurrent assets	4,583,181	-	4,583,181
Deferred outflows of resources	42,242	-	42,242
Total assets and deferred outflows of resources	6,227,933	-	6,227,933
Current liabilities	651,352	(1,479)	649,873
Long-term liabilities	1,213,538	746	1,214,284
Deferred inflows of resources	2,673	-	2,673
Total liabilities and deferred inflows of resources	1,867,563	(733)	1,866,830
Total net position	<u>\$ 4,360,370</u>	<u>\$ 733</u>	<u>\$ 4,361,103</u>

Notes to Basic Financial Statements

June 30, 2024 and 2023

(Dollars in Thousands)

Note 17 - Accounting Changes (Continued)

The following is a summary of the changes to the amounts previously reported as of June 30, 2023:

	June 30, 2023, as Previously Reported	GASB 101 Adoption	July 1, 2023, as Restated
Current assets	\$ 1,716,841	\$ -	\$ 1,716,841
Noncurrent assets	4,994,224	-	4,994,224
Deferred outflows of resources	<u>36,177</u>	<u>-</u>	<u>36,177</u>
Total assets and deferred outflows of resources	6,747,242	-	6,747,242
Current liabilities	639,759	(1,312)	638,447
Long-term liabilities	1,185,313	658	1,185,971
Deferred inflows of resources	<u>12,232</u>	<u>-</u>	<u>12,232</u>
Total liabilities and deferred inflows of resources	<u>1,837,304</u>	<u>(654)</u>	<u>1,836,650</u>
Total net position	<u>\$ 4,909,938</u>	<u>\$ 654</u>	<u>\$ 4,910,592</u>

In addition to the impact disclosed above, the adoption of GASB 101 also resulted in an increase of benefits expense totaling \$79, as shown on the statement of revenue, expenses, and changes in net position, for the year ended June 30, 2023.

Required Supplementary Information

Required Supplementary Information

Schedule of Changes in the Net Pension Liability (Asset) and Related Ratios

Years Ended June 30
(Dollars in Thousands)

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Total Pension Liability										
Service cost	\$ 128,739	\$ 114,551	\$ 100,439	\$ 92,812	\$ 86,205	\$ 82,862	\$ 84,811	\$ 63,156	\$ 57,110	\$ 49,411
Interest	127,815	112,454	99,075	86,477	77,822	63,593	56,967	50,527	44,575	37,092
Plan changes	-	-	-	-	-	(38,743)	-	-	-	10,490
Differences between expected and actual experience	30,670	30,223	9,269	12,337	7,101	42,206	7,291	2,020	4,388	15,584
Changes in assumptions	-	6,444	30,617	25,260	(8,153)	(1,159)	(8,788)	-	(6,213)	37,858
Benefit payments	(51,723)	(48,943)	(46,954)	(39,075)	(32,729)	(42,823)	(20,914)	(19,464)	(14,047)	(12,188)
Other	-	-	-	-	-	-	-	-	714	(713)
Net Change in Total Pension Liability	235,501	214,729	192,446	177,811	130,246	105,936	119,367	96,239	86,527	137,534
Total Pension Liability - Beginning	1,766,304	1,551,575	1,359,129	1,181,318	1,051,072	945,136	825,769	729,530	643,003	505,469
Total Pension Liability - Ending	\$ 2,001,805	\$ 1,766,304	\$ 1,551,575	\$ 1,359,129	\$ 1,181,318	\$ 1,051,072	\$ 945,136	\$ 825,769	\$ 729,530	\$ 643,003
Plan Fiduciary Net Position										
Contributions - Employer	\$ 163,333	\$ 145,200	\$ 122,900	\$ 113,027	\$ 101,800	\$ 91,812	\$ 79,213	\$ 74,356	\$ 68,000	\$ 66,184
Net investment income (loss)	174,394	117,645	(110,006)	310,588	39,464	40,057	56,395	78,610	(476)	12,212
Benefit payments	(51,723)	(48,943)	(46,954)	(39,075)	(32,729)	(42,823)	(20,914)	(19,464)	(14,047)	(12,188)
Administrative expenses	(5,375)	(4,676)	(4,643)	(3,873)	(3,025)	(4,175)	(2,251)	(1,746)	(1,464)	(1,453)
Net Change in Plan Fiduciary Net Position	280,629	209,226	(38,703)	380,667	105,510	84,871	112,443	131,756	52,013	64,755
Plan Fiduciary Net Position - Beginning	1,564,116	1,354,890	1,393,593	1,012,926	907,416	822,545	710,102	578,346	526,333	461,578
Plan Fiduciary Net Position - Ending	\$ 1,844,745	\$ 1,564,116	\$ 1,354,890	\$ 1,393,593	\$ 1,012,926	\$ 907,416	\$ 822,545	\$ 710,102	\$ 578,346	\$ 526,333
UCHA's Net Pension Liability (Asset) - Ending	\$ 157,060	\$ 202,188	\$ 196,685	\$ (34,464)	\$ 168,392	\$ 143,656	\$ 122,591	\$ 115,667	\$ 151,184	\$ 116,670
Plan Fiduciary Net Position as a Percentage of Total Pension Liability	92.2 %	88.6 %	87.3 %	102.5 %	85.7 %	86.3 %	87.0 %	86.0 %	79.3 %	81.9 %
Covered Payroll	\$ 2,577,430	\$ 2,273,099	\$ 1,902,882	\$ 1,770,242	\$ 1,674,977	\$ 1,476,241	\$ 1,193,744	\$ 1,059,420	\$ 940,375	\$ 862,612
Net Pension Liability (Asset) as a Percentage of Covered Payroll	6.1 %	8.9 %	10.3 %	(1.9)%	10.1 %	9.7 %	10.3 %	10.9 %	16.1 %	13.5 %

Required Supplementary Information
Schedule of Changes in the Net Pension Liability (Asset) and
Related Ratios (Continued)

Years Ended June 30
(Dollars in Thousands)

Notes to Schedule

Changes of Assumptions

Based on the results of an experience study, retirement and termination rates, salary increase rates, and the assumption regarding election of form of payment upon retirement were updated in 2019. These changes increased the present value of projected benefits by \$741.

The assumed rates of mortality were updated in 2015 based on adopting the RP-2014 Mortality Tables. This change increased the present value of projected benefits by \$37,858 and increased the actuarially determined contribution by \$8,306 in 2015. This change decreased the present value of projected benefits by \$6,213 in 2016.

The assumed rates of mortality were updated in 2018 and 2019 by incorporating the RP-2014 Mortality Table, updated MP mortality improvement scale. This change decreased the present value of projected benefits by \$1,900 and \$8,788 in 2019 and 2018, respectively.

The assumed rates of mortality were updated in 2020 by incorporating the Pri-2012 Mortality Tables with base year 2012 using the base mortality improvement scale MP-2019 with generational projections using a 0.75 percent long-term rate of improvement. This change decreased the present value of projected benefits by \$8,153 in 2020.

The discount rate was reduced from 7.0 percent to 6.75 percent in 2021. The projected salary increases were changed to a range of 3.05 percent to 7.25 percent in 2021. The cost of living adjustment rate was reduced to 2.25 percent in 2021. These changes increased the present value of projected benefits by \$25,260 in 2021.

Based on the results of an experience study, retirement and termination rates, salary increase rates, and the assumption regarding election of form of payment upon retirement were updated in 2023. These changes increased the present value of projected benefits by \$6,444.

Required Supplementary Information Schedule of Contributions

**Last Ten Fiscal Years
Years Ended June 30
(Dollars in Thousands)**

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Actuarially determined contribution	\$ 163,333	\$ 145,195	\$ 119,905	\$ 113,027	\$ 101,598	\$ 91,812	\$ 79,213	\$ 74,356	\$ 67,969	\$ 66,184
Contributions in relation to the actuarially determined contribution	163,333	145,200	122,900	113,027	101,800	91,812	79,213	74,356	68,000	66,184
Contribution Excess	\$ -	\$ 5	\$ 2,995	\$ -	\$ 202	\$ -	\$ -	\$ -	\$ 31	\$ -
Covered Payroll	\$ 2,577,430	\$ 2,273,099	\$ 1,902,822	\$ 1,770,242	\$ 1,674,977	\$ 1,476,241	\$ 1,193,744	\$ 1,059,420	\$ 940,375	\$ 862,612
Contributions as a Percentage of Covered Payroll	6.34 %	6.39 %	6.46 %	6.38 %	6.08 %	6.22 %	6.64 %	7.02 %	7.23 %	7.67 %

Notes to Schedule of Contributions

Actuarial valuation information relative to the determination of contributions:

Valuation date Actuarially determined contribution rates are calculated as of July 1, one year prior to the end of the fiscal year in which contributions are reported.

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry age normal, level percent of pay
Amortization method	Straight line
Asset valuation method	Fair value
Projected salary increases	In the 2022 and 2023 valuations, 3.25 percent to 8.75 percent with a one-time load for FY 2023 of (2.10) percent. In the 2021 and 2020 valuations, 3.05 percent to 7.25 percent, with one-time loads for FY 2022 and FY 2023 of 4.44 percent and (2.10) percent, respectively. In the 2019 and prior valuations, 3.3 percent to 7.5 percent
Investment rate of return	In the 2020 and later valuations, 6.75 percent, includes inflation at 2.25 percent. In the 2019 and prior valuations, 7.0 percent, includes inflation at 2.5 percent
Mortality	In the 2019 and later valuations, mortality rates are based on the Pri-2012 Mortality Table adjusted for the MP-2019 mortality improvement scale. In the 2018 actuarial valuation, mortality rates are based on the RP-2014 Mortality Table adjusted for the MP-2018 mortality improvement scale. In the 2017 actuarial valuation, mortality rates were based on the RP-2014 Mortality Table adjusted for the MP-2017 mortality improvement scale. In the 2016 and 2015 actuarial valuation, mortality rates were based on the RP-2014 Mortality Table. In prior years, those assumptions were based on the RP-2000 Mortality Table.
Cost of living adjustments	In the 2020 and later valuations, 2.25 percent. In the 2019 and prior valuations, 2.5 percent

Required Supplementary Information
Schedule of Pension Plan Investment Returns

	Last Ten Fiscal Years Years Ended June 30									
	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Annual money-weighted rate of return - Net of investment expense	10.50 %	8.70 %	(8.30)%	28.50 %	4.70 %	5.10 %	7.80 %	13.10 %	(0.90)%	2.40 %

Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of
Financial Statements Performed in Accordance with *Government Auditing Standards*

Independent Auditor's Report

To Management and the Board of Directors
University of Colorado Hospital Authority

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the business-type activities and fiduciary activities of University of Colorado Hospital Authority (UCHA), a component unit of University of Colorado Health, as of and for the year ended June 30, 2024 and the related notes to the basic financial statements, which comprise UCHA's basic financial statements, and have issued our report thereon dated September 24, 2024.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered UCHA's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of UCHA's internal control. Accordingly, we do not express an opinion on the effectiveness of UCHA's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of UCHA's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that have not been identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether UCHA's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

To Management and the Board of Directors
University of Colorado Hospital Authority

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of UCHA's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering UCHA's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Plante & Moreau, PLLC

September 24, 2024

University of Colorado Hospital Authority

Federal Awards Supplemental Information
June 30, 2024

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Report on Schedule of Expenditures of Federal Awards Required by the Uniform Guidance

Independent Auditor's Report

To the Board of Directors
University of Colorado Hospital Authority

We have audited the financial statements of the business-type activities and the fiduciary activities of University of Colorado Hospital Authority (UCHA), a component unit of University of Colorado Health, as of and for the year ended June 30, 2024 and the related notes to the basic financial statements, which collectively comprise UCHA's basic financial statements. We issued our report thereon dated September 24, 2024, which contained an unmodified opinion on the financial statements. Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements. We have not performed any procedures with respect to the audited financial statements subsequent to September 24, 2024.

The accompanying schedule of expenditures of federal awards is presented for the purpose of additional analysis, as required by the Uniform Guidance, and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the basic financial statements as a whole.

Plante & Moran, PLLC

February 17, 2025

Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of
Financial Statements Performed in Accordance with *Government Auditing Standards*

Independent Auditor's Report

To Management and the Board of Directors
University of Colorado Hospital Authority

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the business-type activities and the fiduciary activities of University of Colorado Hospital Authority (UCHA), a component unit of University of Colorado Health, as of and for the year ended June 30, 2024 and the related notes to the financial statements, which collectively comprise UCHA's basic financial statements, and have issued our report thereon dated September 24, 2024.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered UCHA's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of UCHA's internal control. Accordingly, we do not express an opinion on the effectiveness of UCHA's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of UCHA's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether UCHA's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

To Management and the Board of Directors
University of Colorado Hospital Authority

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of UCHA's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering UCHA's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Plante & Moran, PLLC

September 24, 2024

Report on Compliance for Each Major Federal Program and Report on Internal Control Over Compliance
Required by the Uniform Guidance

Independent Auditor's Report

To the Board of Directors
University of Colorado Hospital Authority

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited University of Colorado Hospital Authority's (UCHA) compliance with the types of compliance requirements identified as subject to audit in the OMB *Compliance Supplement* that could have a direct and material effect on UCHA's major federal program for the year ended June 30, 2024. UCHA's major federal program is identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, UCHA complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on the major federal program for the year ended June 30, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (the "Uniform Guidance"). Our responsibilities under those standards and the Uniform Guidance are further described in the *Auditor's Responsibilities for the Audit of Compliance* section of our report.

We are required to be independent of UCHA and to meet our other ethical responsibilities in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of UCHA's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to UCHA's federal program.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on UCHA's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and, therefore, is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about UCHA's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding UCHA's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of UCHA's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of UCHA's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the *Auditor's Responsibilities for the Audit of Compliance* section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

To the Board of Directors
University of Colorado Hospital Authority

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Plante & Moran, PLLC

February 17, 2025

University of Colorado Hospital Authority

Schedule of Expenditures of Federal Awards

Year Ended June 30, 2024

Federal Agency/Pass-through Agency/ Program Title	Assistance Listing Number	Pass-through Entity Identifying Number	Provided to Subrecipients	Federal Expenditures
U.S. Department of Transportation - Highway Safety Cluster - Passed through Colorado Department of Transportation - State and Community Highway Safety	20.600	17 NHTSA402.3102	\$ -	\$ 29,151
U.S. Department of Justice - Passed through the University of Colorado Denver Crime Victim Assistance	16.575	2022-VA-23-248-00	-	103,233
U.S. Department of Health and Human Services: Congressional Directives	93.493		-	328,102
Passed through Colorado Department of Public Health and Environment - HIV Care Formula Grants	93.917	07 FHA 00225	-	24
Passed through City and County of Denver, Colorado - HIV Emergency Relief Project Grants	93.914	5H89HA/00027-06	-	1,040,562
Total U.S. Department of Health and Human Services			-	1,368,688
Total			\$ -	\$ 1,501,072

See notes to schedule of expenditures of federal
awards.

Notes to Schedule of Expenditures of Federal Awards

Year Ended June 30, 2024

Note 1 - Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal grant activity of University of Colorado Hospital Authority (UCHA) under programs of the federal government for the year ended June 30, 2024. The information in the Schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (the "Uniform Guidance"). Because the Schedule presents only a selected portion of the operations of UCHA, it is not intended to and does not present the financial position, changes in net position, or cash flows of UCHA.

Note 2 - Summary of Significant Accounting Policies

Expenditures reported in the Schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, wherein certain types of expenditures are not allowable or are limited as to reimbursement. The pass-through entity identifying numbers are presented where available.

UCHA has elected to not use the 10 percent *de minimis* indirect cost rate to recover indirect costs, as allowed under the Uniform Guidance.

Note 3 - Noncash Assistance

The value of the noncash assistance received was determined in accordance with the provisions of the Uniform Guidance.

The grantee received \$24 in noncash assistance during the year ended June 30, 2024 that is included in the Schedule under the U.S. Department of Health and Human Services HIV CARE Formula Grants, ALN 93.917.

Schedule of Findings and Questioned Costs

Year Ended June 30, 2024

Section I - Summary of Auditor's Results

Financial Statements

Type of auditor's report issued:

Unmodified

Internal control over financial reporting:

- Material weakness(es) identified? _____ Yes X No
- Significant deficiency(ies) identified that are not considered to be material weaknesses? _____ Yes X None reported

Noncompliance material to financial statements noted?

_____ Yes X None reported

Federal Awards

Internal control over major programs:

- Material weakness(es) identified? _____ Yes X No
- Significant deficiency(ies) identified that are not considered to be material weaknesses? _____ Yes X None reported

Any audit findings disclosed that are required to be reported in accordance with Section 2 CFR 200.516(a)?

_____ Yes X No

Identification of major programs:

Assistance Listing Number	Name of Federal Program or Cluster	Opinion
93.914	HIV Emergency Relief Project Grants	Unmodified

Dollar threshold used to distinguish between type A and type B programs:

\$750,000

Auditee qualified as low-risk auditee?

_____ Yes X No

Section II - Financial Statement Audit Findings

None

Section III - Federal Program Audit Findings

None